

SEC Number : 91447
File Number : _____

SEMIRARA MINING AND POWER CORPORATION
Company's Full Name

2nd Floor, DMCI Plaza
2281 Chino Roces Avenue, Makati City
Company's Address

8888-3055
Telephone Number

For the Period Ended 30 June 2025
Period Ended

QUARTERLY REPORT FORM 17-Q
Form Type

SEC FORM 17-Q

**QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER**

1. For the quarter ended **30 June 2025**
2. Commission Identification Number **91447**
3. BIR Tax Identification No. **000-190-324-000**

4. Exact Name of issuer as specified in its charter:

SEMIRARA MINING AND POWER CORPORATION

5. Province, Country or other jurisdiction of incorporation of organization:
PHILIPPINES

6. Industry Classification Code: _____ (SEC use only)

7. Address of issuer's principal office Postal Code

**2nd Floor, DMCI Plaza, 1231
2281 Chino Roces Avenue, Makati City**

8. Registrants telephone Number, including area code:
+63 2 8888-3055

9. Former Address : 7th Floor, Quad Alpha Centrum Bldg.,
125 Pioneer St., Mandaluyong City
Telephone Nos. : 631-8001 to 6318010
Former name : Semirara Coal Corporation/Semirara Mining Corporation
No former fiscal year of the registrant.

10. Securities registered pursuant to Section 4 of the RSA.

Title of each class	Number of shares of common Stock Outstanding
<u>Common Stock, P1.00 par value</u>	<u>4,250,547,620 shares</u>

11. 4,264,609,290 shares are listed in the Philippine Stock Exchange

12. The registrant has filed all reports required to be filed by Section 11 of the Revised Securities Act (RSA) and RSA Rule 11 (a)-1 thereunder and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding 12 months.

Has been subject for such filing requirements for the past 90 days

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SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	June 30, 2025 Unaudited	December 31, 2024 Audited
ASSETS		
Current Assets		
Cash and cash equivalents	₱6,835,202,653	₱9,466,892,791
Receivables	7,019,180,191	7,569,681,007
Inventories	14,404,650,006	11,977,301,157
Other current assets	1,319,582,045	1,185,005,882
Total Current Assets	29,578,614,895	30,198,880,837
Noncurrent Assets		
Investment in associate	1,563,300,637	1,780,664,756
Property, plant and equipment	35,867,593,815	37,209,638,852
Deferred mine exploration cost	993,586,144	993,586,144
Deferred tax assets – net	696,071,414	696,071,414
Other noncurrent assets	413,734,991	315,115,808
Total Noncurrent Assets	39,534,287,001	40,995,076,974
	₱69,112,901,896	₱71,193,957,811
LIABILITIES AND EQUITY		
Current Liabilities		
Trade and other payables	₱10,323,932,577	₱11,222,149,172
Current portion of long-term debt	940,506,491	1,640,932,429
Current portion of lease liabilities	7,634,229	8,436,175
Total Current Liabilities	11,272,073,297	12,871,517,776
Noncurrent Liabilities		
Long-term debt – net of current portion	525,532,835	993,812,125
Lease liabilities – net of current portion	26,920,698	31,746,817
Provision for decommissioning and site rehabilitation costs	388,398,309	388,398,309
Pension liabilities	424,595,538	348,135,612
Other noncurrent liabilities	38,842,656	41,792,731
Total Noncurrent Liabilities	1,404,290,036	1,803,885,594
Total Liabilities	12,676,363,333	14,675,403,370
Equity		
Capital stock	4,264,609,290	4,264,609,290
Additional paid-in capital	6,675,527,411	6,675,527,411
Retained earnings	46,395,869,309	46,477,885,187
Net remeasurement losses on pension plan	(159,940,769)	(159,940,769)
Treasury shares	(739,526,678)	(739,526,678)
Total Equity	56,436,538,563	56,518,554,441
	₱69,112,901,896	₱71,193,957,811

SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (UNAUDITED)

	For the period		For the quarter	
	Jan to Jun 2025	Jan to Jun 2024	Apr to Jun 2025	Apr to Jun 2024
REVENUES				
Coal	₱18,363,908,640	₱23,882,004,533	₱8,341,722,020	₱11,243,482,589
Power	12,966,931,982	12,712,192,413	6,480,332,543	6,924,652,738
	31,330,840,622	36,594,196,946	14,822,054,563	18,168,135,327
COSTS OF SALES				
Coal	11,589,611,942	12,447,923,045	5,241,874,007	6,164,143,517
Power	5,955,123,678	4,739,081,933	2,950,942,619	2,423,791,946
	17,544,735,620	17,187,004,978	8,192,816,626	8,587,935,463
GROSS PROFIT	13,786,105,002	19,407,191,968	6,629,237,937	9,580,199,864
OPERATING EXPENSES	(4,560,087,812)	(5,993,744,427)	(2,099,957,154)	(2,813,656,381)
INCOME FROM OPERATIONS	9,226,017,190	13,413,447,541	4,529,280,783	6,766,543,483
OTHER INCOME (CHARGES)				
Finance income	160,031,957	509,113,328	58,578,696	207,157,443
Finance costs	(114,952,723)	(221,203,936)	(52,146,736)	(101,153,177)
Share in net income (loss) of associate	(181,684,856)	–	(101,985,109)	–
Foreign exchange gains (losses) - net	124,549,870	17,310,107	44,248,339	(61,062,185)
Other income - net	278,755,593	225,550,469	102,482,665	94,103,295
	266,699,841	530,769,968	51,177,855	139,045,376
INCOME BEFORE INCOME TAX	9,492,717,031	13,944,217,509	4,580,458,638	6,905,588,859
PROVISION FOR INCOME TAX	1,073,637,669	1,353,877,667	512,079,250	853,003,863
NET INCOME	8,419,079,362	12,590,339,842	4,068,379,388	6,052,584,996
OTHER COMPREHENSIVE INCOME	–	–	–	–
TOTAL COMPREHENSIVE INCOME	₱8,419,079,362	₱12,590,339,842	₱4,068,379,388	₱6,052,584,996
Basic/Diluted Earnings per Share	₱1.98	₱2.96	₱0.96	₱1.42

SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (UNAUDITED)

	Retained Earnings				Net Remeasurement Loss on Pension Plan	Treasury Shares	Total
	Capital Stock	Additional Paid-in Capital	Unappropriated	Appropriated			
For the Period Ended June 30, 2025							
Balances as of January 1, 2025	₱4,264,609,290	₱6,675,527,411	₱39,677,885,187	₱6,800,000,000	(₱159,940,769)	(₱739,526,678)	₱56,518,554,441
Comprehensive income							
Net income	–	–	8,419,079,362	–	–	–	8,419,079,362
Other comprehensive gain (loss)	–	–	–	–	–	–	–
Total comprehensive income	–	–	8,419,079,362	–	–	–	8,419,079,362
Cash dividends declared	–	–	(8,501,095,240)	–	–	–	(8,501,095,240)
Balances as of June 30, 2025	₱4,264,609,290	₱6,675,527,411	₱39,595,869,309	₱6,800,000,000	(₱159,940,769)	(₱739,526,678)	₱56,436,538,563
	Retained Earnings				Net Remeasurement Loss on Pension Plan	Treasury Shares	Total
	Capital Stock	Additional Paid- in Capital	Unappropriated	Appropriated			
For the Period Ended June 30, 2024							
Balances as of January 1, 2024	₱4,264,609,290	₱6,675,527,411	₱45,551,667,128	₱6,800,000,000	(₱174,298,459)	(₱739,526,678)	₱62,377,978,692
Comprehensive income							
Net income	–	–	12,590,339,841	–	–	–	12,590,339,841
Other comprehensive income	–	–	–	–	–	–	–
Total comprehensive income	–	–	12,590,339,841	–	–	–	12,590,339,841
Cash dividends declared	–	–	(14,876,916,670)	–	–	–	(14,876,916,670)
Balances as of June 30, 2024	₱4,264,609,290	₱6,675,527,411	₱43,265,090,299	₱6,800,000,000	(₱174,298,459)	(₱739,526,678)	₱60,091,401,863

SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS (UNAUDITED)

	Periods Ended June 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱9,492,717,031	₱13,944,217,509
Adjustments for:		
Depreciation and amortization	3,942,094,825	3,404,152,235
Finance costs	114,952,723	221,203,936
Share in net income (loss) of associate	181,684,856	—
Net unrealized foreign exchange gains	(124,549,870)	(17,310,107)
Finance income	(160,031,957)	(509,113,328)
Operating income before changes in operating assets and liabilities	13,446,867,608	17,043,150,245
Changes in operating assets and liabilities:		
Decrease (increase) in:		
Receivables	550,500,816	(299,119,733)
Other current assets	(134,576,163)	274,044,674
Inventories	(2,427,348,849)	439,646,338
Increase (decrease) in trade and other payables	897,865,087	(1,771,649,630)
Cash generated from operations	12,333,308,499	15,686,071,894
Interest received	160,031,957	509,113,328
Income taxes paid	(952,162,433)	(1,055,820,831)
Interest paid	(66,188,525)	(147,934,154)
Net cash provided by operating activities	11,474,989,498	14,991,430,237
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to property, plant and equipment	(4,472,960,228)	(3,224,040,033)
Decrease (increase) in other noncurrent assets	(98,619,183)	198,483,289
Net cash used in investing activities	(4,571,579,411)	(3,025,556,744)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payment of loans	(1,170,857,143)	(2,138,457,143)
Payment of dividends	(8,356,466,888)	(14,876,916,670)
Decrease in noncurrent liabilities	(7,776,194)	(115,184)
Net cash used in financing activities	(9,535,100,225)	(17,015,488,997)
NET DECREASE IN CASH AND CASH EQUIVALENTS	(2,631,690,138)	(5,049,615,504)
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	9,466,892,791	18,986,929,983
CASH AND CASH EQUIVALENTS AT END OF PERIOD	₱6,835,202,653	₱13,937,314,479

SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES

NOTES TO UNAUDITED CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Semirara Mining and Power Corporation (SMPC or the Parent Company) is a corporation incorporated in the Philippines on February 26, 1980. The Parent Company's registered and principal office address is at 2/F DMCI Plaza, 2281 Don Chino Roces Avenue, Makati City. The Parent Company's shares of stock are listed and currently traded at the Philippine Stock Exchange (PSE). The Parent Company is a 56.65%-owned subsidiary of DMCI Holdings, Inc. (DMCI-HI), a publicly-listed entity in the Philippines and its ultimate parent company.

The Parent Company and its subsidiaries are collectively referred to herein as "the Group".

The Group's primary purpose is to search for, prospect, explore, dig and drill, mine, exploit, extract, produce, mill, purchase or otherwise acquire, store, hold transport, use experiment with, market, distribute, exchange, sell and otherwise dispose of, import, export and handle, trade, and generally deal in, ship coal, coke, and other coal products of all grades, kinds, forms, descriptions and combinations and in general the products and by-products which may be derived, produced, prepared, developed, compounded, made or manufactured there; to acquire, own, maintain and exercise the rights and privileges under the coal operating contract within the purview of Presidential Decree No. 972, "The Coal Development Act of 1976", and any amendments thereto and to acquire, expand, rehabilitate and maintain power generating plants, develop fuel for generation of electricity and sell electricity to any person or entity through electricity markets, among others.

2. Summary of Significant Accounting Policies

Basis of Preparation

The interim unaudited condensed consolidated financial statements of the Group have been prepared in accordance with Philippine Accounting Standards (PAS) 34, Interim Financial Reporting. Accordingly, the unaudited condensed consolidated financial statements do not include all of the information and disclosures required in the annual audited financial statements, and should be read in conjunction with the Group's annual consolidated financial statements as at December 31, 2024.

The interim unaudited condensed consolidated financial statements of the Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVPL) that have been measured at fair value. The Parent Company's functional currency and the Group's presentation currency is the Philippine Peso (₱). All amounts are rounded off to the nearest Peso, except for earnings per share and par value information or unless otherwise indicated.

Statement of Compliance

The interim unaudited condensed consolidated financial statements of the Group have been prepared in compliance with Philippine Financial Reporting Standards (PFRSs).

PFRSs include Philippine Financial Reporting Standards, Philippine Accounting Standards and Interpretations issued by Philippine Interpretations Committee (PIC).

Basis of Consolidation

The interim unaudited condensed consolidated financial statements comprise the financial statements of the Parent Company and the following subsidiaries (which are all incorporated in the Philippines) as of June 30, 2025 and December 31, 2024:

Entity	Rate of Ownership
Sem-Calaca Power Corporation (SCPC)	100.00 %
Sem-Calaca RES Corporation (SCRC) ¹	100.00
Southwest Luzon Power Generation Corporation (SLPGC)	100.00
SEM-Cal Industrial Park Developers, Inc. (SIPDI)	100.00
Semirara Materials and Resources, Inc. (SMRI) ²	100.00
Semirara Energy Utilities, Inc. (SEUI)	100.00
Southeast Luzon Power Generation Corporation (SELPGC)	100.00
St. Raphael Power Generation Corporation (SRPGC) ³	100.00
Sem-Calaca Ports Facilities, Inc. (SPFI) ⁴	100.00

¹ Wholly owned subsidiary of SCPC. Started commercial operations on August 29, 2018.

² Formerly Semirara Claystone, Inc. (SCI).

³ Previously accounted as an investment in a joint venture. In 2020, SMPC entered into a deed of assignment for acquisition of remaining 50% ownership interest in SRPGC. The acquisition of SRPGC was accounted for as an asset acquisition (Note 3)

⁴ Wholly owned subsidiary of SCPC. Incorporated on December 20, 2022.

Change in Corporate Name of Semirara Claystone, Inc.

On April 15, 2022, SEC approved the change in name of Semirara Claystone, Inc. (SCI) to Semirara Materials and Resources, Inc. (SMRI).

Incorporation of Sem-Calaca Ports Facilities, Inc.

Sem-Calaca Ports Facilities, Inc. (SPFI) was incorporated on December 20, 2022 and is 100% owned by Sem-Calaca Power Corporation, a wholly owned subsidiary of SMPC. The Company is organized primarily to manage, operate and develop the ports in the Philippines.

Except for SCPC, SLPGC and SCRC, all other subsidiaries have not yet started commercial operations as of June 30, 2025.

The interim unaudited condensed consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. All intra-group assets and liabilities, equity, income, expenses, dividends and cash flows relating to transactions between components of the Group are eliminated in full on consolidation.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Control is achieved when the entity is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the entity controls an investee if and only if the entity has the following element:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee, and

- The ability to use its power over the investee to affect its returns.

Generally, there is a presumption that a majority of voting rights results in control. To support the presumption and when the entity has less than a majority of the voting or similar rights of an investee, the entity considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting and potential voting rights

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies.

A change in the ownership interest of a subsidiary without a loss of control is accounted for as an equity transaction. If the entity loses control over a subsidiary, it:

- Derecognizes the related assets (including goodwill), liabilities, non-controlling interests (NCI) and other components of equity,
- Recognizes the fair value of the consideration received, the fair value of any investment retained and any surplus or deficit in profit or loss.
- Reclassifies the parent's share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate.

Business Combination and Goodwill

Business combinations are accounted for using the acquisition method. This involves recognizing identifiable assets (including previously unrecognized intangible assets) and liabilities (including contingent liabilities and excluding future restructuring) of the acquired business at fair value. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets. Transaction costs incurred are charge to expense in the consolidated statement of comprehensive income.

When the Group acquires a business, it assesses the financial assets and financial liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree. If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss.

Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration which is deemed to be an asset or liability are recognized in accordance with PFRS 9 either in profit or loss or as change to other comprehensive income. If the contingent consideration is classified as equity, it is not remeasured and its subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and

reviews the procedures used to measure the amounts to be recognized at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognized in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a cash-generating unit (CGU) and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash-generating unit retained.

When subsidiaries are sold, the difference between the selling price and the net assets plus cumulative translation differences and goodwill is recognized in the consolidated statement of comprehensive income.

Acquisitions of non-controlling interests are accounted for as transactions with owners in their capacity as owners and therefore no goodwill or profit or loss is recognized as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

Asset Acquisitions

To assess whether a transaction is the acquisition of a business, the Group applies first a quantitative concentration test (also known as a screening test). The Group is not required to apply the test but may elect to do so separately for each transaction or other event. If the concentration test is met, the set of activities and assets is determined not to be a business and no further assessment is required. Otherwise, or if the Group elects not to apply the test, the Group will perform the qualitative analysis of whether an acquired set of assets and activities includes at a minimum, an input and a substantive process that together significantly contribute to the ability to create outputs.

If the assets acquired and liabilities assumed in an acquisition transaction do not constitute a business as defined under PFRS 3, the transaction is accounted for as an asset acquisition. The Group identifies and recognizes the individual identifiable assets acquired (including those assets that meet the definition of, and recognition criteria for, intangible assets) and liabilities assumed. The acquisition cost is allocated to the individual identifiable assets and liabilities on the basis of their relative fair values at the date of purchase. Such transaction or event does not give rise to goodwill. Where the Group acquires a controlling interest in an entity that is not a business, but obtains less than 100% of the entity, after it has allocated the cost to the individual assets acquired, it notionally grosses up those assets and recognizes the difference as noncontrolling-interests.

When the Group obtains control over a previously held joint operation, and the joint operation does not constitute a business, the transaction is also accounted for as an asset acquisition which does not give rise to goodwill. The acquisition cost to obtain control of the joint operation is allocated to the individual identifiable assets acquired and liabilities assumed, including the additional share of any assets and liabilities previously held or incurred jointly, on the basis of their relative fair values at the date of purchase. Previously held assets and liabilities of the joint operation should remain at their carrying amounts immediately before the transaction.

Changes in Accounting Policies and Disclosures

The accounting policies adopted in the preparation of the consolidated financial statements are consistent with those of the previous financial year, except for the adoption of the following new accounting pronouncements starting January 1, 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the consolidated financial statements of the Group.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*

The amendments clarify:

- That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Standards Issued but not yet Effective

Pronouncements issued but not yet effective are listed below. Unless otherwise indicated, the Group does not expect that the future adoption of the said pronouncements will have a significant impact on its consolidated financial statements. The Group intends to adopt the following pronouncements when they become effective.

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure.

PFRS 17 is effective for reporting periods beginning on or after January 1, 2025, with comparative figures required. Early application is permitted.

This standard is not applicable to the Group.

- Amendments to PAS 21, *Lack of exchangeability*

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments are effective for annual reporting periods beginning on or after January 1, 2025. Earlier adoption is permitted and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information.

These amendments are not expected to have a material impact on the Group's consolidated financial statements.

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*

The amendments clarify that a financial liability is derecognized on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. They also introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met.

The amendments also clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features. Furthermore, the amendments clarify the treatment of non-recourse assets and contractually linked instruments.

These amendments are not expected to have a material impact on the Group's consolidated financial statements.

- Annual Improvements to PFRS Accounting Standards—Volume 11

The amendments are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversight or conflicts between the requirements in the Accounting Standards. The following is the summary of the Standards involved and their related amendments.

- Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*

The amendments included in paragraphs B5 and B6 of PFRS 1 cross references to the qualifying criteria for hedge accounting in paragraph 6.4.1(a), (b) and (c) of PFRS 9. These are intended to address potential confusion arising from an inconsistency between the wording in PFRS 1 and the requirements for hedge accounting in PFRS 9.

- Amendments to PFRS 7, *Gain or Loss on Derecognition*

The amendments updated the language of paragraph B38 of PFRS 7 on unobservable inputs and included a cross reference to paragraphs 72 and 73 of PFRS 13.

- Amendments to PFRS 9

- Lessee Derecognition of Lease Liabilities

The amendments to paragraph 2.1 of PFRS 9 clarified that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee is required to apply paragraph 3.3.3 and recognize any resulting gain or loss in profit or loss.

- **Transaction Price**

The amendments to paragraph 5.1.3 of PFRS 9 replaced the reference to ‘transaction price as defined by PFRS 15 *Revenue from Contracts with Customers*’ with ‘the amount determined by applying PFRS 15’. The term ‘transaction price’ in relation to PFRS 15 was potentially confusing and so it has been removed. The term was also deleted from Appendix A of PFRS 9.

- **Amendments to PFRS 10, *Determination of a ‘De Facto Agent’***

The amendments to paragraph B74 of PFRS 10 clarified that the relationship described in B74 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor.

- **Amendments to PAS 7, *Cost Method***

The amendments to paragraph 37 of PAS 7 replaced the term ‘cost method’ with ‘at cost’, following the prior deletion of the definition of ‘cost method’.

These amendments are not expected to have a material impact on the Group’s consolidated financial statements.

Effective beginning on or after January 1, 2027

- **PFRS 18, *Presentation and Disclosure in Financial Statements***

The standard replaces PAS 1 Presentation of Financial Statements and responds to investors’ demand for better information about companies’ financial performance. The new requirements include:

- Required totals, subtotals and new categories in the statement of profit or loss
- Disclosure of management-defined performance measures
- Guidance on aggregation and disaggregation

The Group is assessing the impact of adopting this accounting standard.

- **PFRS 19, *Subsidiaries without Public Accountability***

The standard allows eligible entities to elect to apply PFRS 19’s reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other PFRS accounting standards. The application of the standard is optional for eligible entities.

This standard is not applicable to the Group.

Deferred effectivity

- **Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture***

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors’ interests in the associate or joint venture.

On January 13, 2016, the Financial and Sustainability Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the IASB completes its broader review of the research project on equity accounting that may result in

the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

These amendments are not expected to have a material impact on the Group's consolidated financial statements.

Material Accounting Policies

The material accounting policies that have been used in the preparation of financial statements are summarized below. These accounting policies have been consistently applied to all the years presented, unless otherwise stated.

Recognition and Measurement of Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets

Initial recognition and measurement

Financial assets are classified, at initial recognition, as either subsequently measured at amortized cost, at fair value through other comprehensive income (FVOCI), or at fair value through profit or loss (FVPL).

The classification of financial assets at initial recognition that are debt instruments depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at FVPL, transaction costs.

Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient for contracts that have a maturity of one year or less, are measured at the transaction price determined under PFRS 15 (refer to the accounting policies in *Revenue from contracts with customers*).

In order for a financial asset to be classified and measured at amortized cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

As of June 30, 2025 and December 31, 2024, the Group's financial assets comprise of financial assets at amortized cost.

Subsequent measurement - Financial assets at amortized cost (debt instruments)

The Group measures financial assets at amortized cost if both of the following conditions are met:

- the asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and,
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Group's financial assets at amortized cost includes cash and cash equivalents excluding cash on hand, receivables (excluding nonfinancial assets) and environmental guarantee fund included under other noncurrent assets.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized (i.e., removed from the consolidated statements of financial position) when:

- the rights to receive cash flows from the asset have expired, or,
- the Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognize the transferred asset to the extent of its continuing involvement. In that case, the Group also recognized an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

Modification of contractual cash flows

When the contractual cash flows of a financial asset are renegotiated or otherwise modified and the renegotiation or modification does not result in the derecognition of that financial asset, the Group recalculates the gross carrying amount of the financial asset as the present value of the renegotiated or modified contractual cash flows discounted at the original EIR (or credit-adjusted EIR for purchased or originated credit-impaired financial assets) and recognizes a modification gain or loss in the consolidated statements of income.

When the modification of a financial asset results in the derecognition of the existing financial asset and the subsequent recognition of the modified financial asset, the modified asset is considered a 'new' financial asset. Accordingly, the date of the modification shall be treated as the date of initial recognition of that financial asset when applying the impairment requirements to the modified financial asset.

Impairment of financial assets

The Group recognizes an allowance for Expected Credit Losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in

accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate (EIR). The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12 months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

For other financial assets such receivable from related parties, other receivables, advances to supplier and contractors and refundable deposits, ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For cash and cash equivalents, the Group applies the low credit risk simplification. The probability of default and loss given defaults are publicly available and are considered to be low credit risk investments. It is the Group's policy to measure ECLs on such instruments on a 12-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL. The Group uses the ratings from Standard & Poor's (S&P), Moody's and Fitch to determine whether the debt instrument has significantly increased in credit risk and to estimate ECLs.

The Group considers a financial asset in default when contractual payments are 30 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at FVPL, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's financial liabilities are trade and other payables (except statutory payables), short-term and long-term debt and lease liabilities.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Loans and borrowings (Financial liabilities at amortized cost)

This is the category most relevant to the Group. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in consolidated statement of comprehensive income.

This category generally applies to trade and other payables, short-term and long-term debt and lease liabilities.

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the Group's consolidated statement of comprehensive income.

Deferred Financing Costs

Deferred financing costs represent debt issue costs arising from the fees incurred to obtain project financing. This is included in the initial measurement of the related debt. The deferred financing costs are treated as a discount on the related debt and are amortized using the EIR method over the term of the related debt.

Inventories

Inventories are valued at the lower of cost and net realizable value (NRV). NRV is the estimated selling price in the ordinary course of business, less estimated costs necessary to make the sale for coal inventory or replacement cost for spare parts and supplies. Cost is determined using the weighted average production cost method for coal inventory and the moving average method for spare parts and supplies.

The cost of extracted coal includes stripping costs and other mine-related costs incurred during the period and allocated on per metric ton basis by dividing the total production cost with total volume of coal produced. Except for ship loading cost, which is a period cost, all other production related costs are charged to production cost.

Spare parts and supplies, which are usually carried as inventories, are mainly used for the maintenance of equipment are recognized in the statement of comprehensive income once installed and consumed.

Inventories transferred to property, plant and equipment are used as a component of self-constructed property, plant and equipment and are recognized as expense during useful life of that asset. Transfers of inventories to property, plant and equipment do not change the carrying amount of the inventories transferred, and that carrying amount becomes cost for recognition.

Assets Held-for-Sale

The Group classifies non-current assets and disposal groups as held-for-sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. Noncurrent assets classified as held-for-sale are carried at the lower of carrying amount and

fair value less costs to sell. Costs to sell are the incremental costs directly attributable to the disposal of an asset (disposal group), excluding finance costs and income tax expense.

The criteria for held-for-sale classification under PFRS 5, *Noncurrent Assets Held-for-Sale and Discontinued Operations* is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the plan to sell the asset and the sale is expected to be completed within one year from the date of the classification. Events or circumstances may extend the period to complete the sale beyond one year. An extension of the period required to complete a sale does not preclude an asset (or disposal group) from being classified as held for sale if the delay is caused by events or circumstances beyond the Group's control and there is sufficient evidence that the Group remains committed to its plan to sell the asset (or disposal group).

Property, plant and equipment are not depreciated or amortized once classified as held-for-sale. Assets classified as held-for-sale are presented separately as current items in the consolidated statement of financial position.

Immediately before the initial classification of the asset as held-for-sale, the carrying amount of the Asset will be measured in accordance with applicable PFRSs. Any impairment loss on initial classification and subsequent measurement is recognized as an expense. Any subsequent increase in fair value less costs to sell (not exceeding the accumulated impairment loss that has been previously recognized) is recognized in profit or loss.

Stripping Costs

As part of its mining operations, the Group incurs stripping (waste removal) costs both during the development phase and production phase of its operations. Stripping costs incurred in the development phase of a mine, before the production phase commences (development stripping), are capitalized as part of the cost of mine properties and subsequently amortized over its useful life using the units-of-production method over the mine life. The capitalization of development stripping costs ceases when the mine/component is commissioned and ready for use as intended by management.

After the commencement of production, further development of the mine may require a phase of unusually high stripping that is similar in nature to development phase stripping. The costs of such stripping are accounted for in the same way as development stripping (as discussed above).

Stripping costs incurred during the production phase are generally considered to create two benefits, being either the production of inventory or improved access to the coal body to be mined in the future. Where the benefits are realized in the form of inventory produced in the period, the production stripping costs are accounted for as part of the cost of producing those inventories.

Where the benefits are realized in the form of improved access to ore to be mined in the future, the costs are recognized as a noncurrent asset, referred to as a stripping activity asset, if the following criteria are met:

- Future economic benefits (being improved access to the coal body) are probable;
- The component of the coal body for which access will be improved can be accurately identified; and,
- The costs associated with the improved access can be reliably measured.

If all of the criteria are not met, the production stripping costs are charged to the consolidated statement of comprehensive income as operating costs as they are incurred.

In identifying components of the coal body, the Group works closely with the mining operations department for each mining operation to analyze each of the mine plans. Generally, a

component will be a subset of the total coal body, and a mine may have several components. The mine plans, and therefore the identification of components, can vary between mines for a number of reasons. These include, but are not limited to, the type of commodity, the geological characteristics of the coal body, the geographical location, and/or financial considerations.

The stripping activity asset is initially measured at cost, which is the accumulation of costs directly incurred to perform the stripping activity that improves access to the identified component of coal body, plus an allocation of directly attributable overhead costs. If incidental operations are occurring at the same time as the production stripping activity but are not necessary for the production stripping activity to continue as planned, these costs are not included in the cost of the stripping activity asset. If the costs of the inventory produced and the stripping activity asset are not separately identifiable, a relevant production measure is used to allocate the production stripping costs between the inventory produced and the stripping activity asset. This production measure is calculated for the identified component of the coal body and is used as a benchmark to identify the extent to which the additional activity of creating a future benefit has taken place.

The stripping activity asset is accounted for as an addition to, or an enhancement of, an existing asset, being the mine asset, and is included as part of 'Mine properties, mining tools and other equipment' under 'Property, plant and equipment' in the consolidated statement of financial position. This forms part of the total investment in the relevant cash generating unit (CGU), which is reviewed for impairment if events or changes of circumstances indicate that the carrying value may not be recoverable.

The stripping activity asset is subsequently depreciated using the units-of-production method over the life of the identified component of the coal body that became more accessible as a result of the stripping activity. Economically recoverable reserves, which comprise proven and probable reserves, are used to determine the expected useful life of the identified component of the coal body. The stripping activity asset is then carried at cost less amortization and any impairment losses.

Mineable Ore Reserves

Mineable ore reserves are estimates of the amount of coal that can be economically and legally extracted from the Group's mining properties. The Group estimates its mineable ore reserves based on information compiled by appropriately qualified persons relating to the geological data on the size, depth and shape of the coal body, and require complex geological judgments to interpret the data.

The estimate on the mineable ore reserve is determined based on the information obtained from activities such as drilling, core logging or geophysical logging, coal sampling, sample database encoding, coal seam correlation and geological modelling. The Group will then estimate the recoverable reserves based upon factors such as estimates of commodity prices, future capital requirements, foreign currency exchange rates, and production costs along with geological assumptions and judgments made in estimating the size and grade of the coal body. Changes in the reserve or resource estimates may impact the amortization of mine properties included as part of 'Mine properties, mining tools and other equipment' under 'Property, plant and equipment'.

Property, Plant and Equipment

Upon completion of exploration, evaluation and development of the mine, the capitalized assets are transferred into property, plant and equipment. Items of property, plant and equipment except land, equipment in transit and construction in progress are carried at cost less accumulated depreciation and any impairment in value.

The initial cost of property, plant and equipment also comprises its purchase price or construction cost, including non-refundable import duties, taxes, borrowing costs and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures

incurred after the fixed assets have been put into operation, such as repairs and maintenance and overhaul costs, are normally charged to operations in the year when the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property, plant and equipment beyond its originally assessed standard of performance, and the costs of these items can be measured reliably, the expenditures are capitalized as an additional cost of the property, plant and equipment. The present value of the expected cost for the decommissioning of the asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met.

Equipment in transit and construction in progress, included in property, plant and equipment, are stated at cost. Construction in progress includes the cost of the construction of property, plant and equipment and, for qualifying assets, borrowing cost. Equipment in transit includes the acquisition cost of mining equipment and other direct costs.

Mine properties consist of stripping activity asset and expenditures transferred from 'Deferred Mine Exploration Cost' once the work completed supports the future development of the property.

Mine properties are depreciated or amortized on a units-of-production basis over the economically mineable reserves of the mine concerned. Mine properties are included as part of 'Mine properties, mining tools and other equipment' under 'Property, plant and equipment' in the consolidated statement of financial position.

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately. Depreciation of property, plant and equipment commences once the assets are put into operational use.

Depreciation of property, plant and equipment, except mine properties, are computed on a straight-line basis over the estimated useful lives (EUL) of the respective assets or over the remaining life of the mine, whichever is shorter, as follows:

	Years
Machineries and mining equipment	2 to 3
Power plant and buildings	5 to 25
Roads and bridges	10

The EUL and depreciation method are reviewed periodically to ensure that the period and method of depreciation are consistent with the expected pattern of economic benefits from items of property, plant and equipment.

Land is stated at historical cost less any accumulated impairment losses. Historical cost includes the purchase price and directly attributable costs.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. When assets are retired, or otherwise disposed of, the cost and the related accumulated depreciation are removed from the accounts. Any gain or loss arising from derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the item) is included in the consolidated statement of comprehensive income in the year the item is derecognized.

Deferred Mine Exploration Costs

Exploration and evaluation activity involves the search for mineral resources, the determination of technical feasibility and the assessment of commercial viability of an identified resource.

Exploration and evaluation activity includes:

- acquisition of rights to explore
- topographical, geological, geochemical and geophysical studies
- exploratory drilling
- trenching
- sampling
- activities in relation to evaluating the technical feasibility and commercial viability of extracting a mineral resource

License costs paid in connection with a right to explore in an existing exploration area are capitalized and amortized over the term of the permit.

In evaluating whether the expenditures meet the criteria to be capitalized, several different sources of information are used. The information that is used to determine the probability of future benefits depends on the extent of exploration and evaluation that has been performed.

Expenditure on exploration and evaluation is accounted for in accordance with the area of interest method. Exploration and evaluation expenditure is capitalized provided the rights to tenure of the area of interest is current and either: the exploration and evaluation activities are expected to be recouped through successful development and exploitation of the area of interest or, alternatively, by its sale; or exploration and evaluation activities in the area of interest have not, at the reporting date, reached a stage that permits a reasonable assessment of the existence or otherwise of economically recoverable reserves, and active and significant operations in, or relating to, the area of interest are continuing.

When the technical feasibility and commercial viability of extracting a mineral resource have been demonstrated, then, any fulfillment exploration and evaluation expenditure is reclassified as mine properties and mine development costs included as part of property, plant and equipment. Prior to reclassification, exploration and evaluation expenditure is assessed for impairment.

Exploration areas are considered permanently abandoned if the related permits of the exploration have expired and/or there are no definite plans for further exploration and/or development.

Other Assets

Other assets pertain to all other resources controlled by the Group as a result of past events and from which future economic benefits are probable to flow to the Group. If assets are expected to be realized within 12 months from end of reporting period, these are classified as current. Otherwise, these are classified as noncurrent.

Creditable withholding tax

Creditable withholding taxes are classified at the amount expected to be utilized and are available for offset against income tax payable in future periods. The assets expected to be expensed or consumed within 12 months from reporting date are classified as current assets; otherwise, they are classified as noncurrent assets.

Advances to Suppliers and Contractors

Advances to suppliers and contractors are recognized in the consolidated statement of financial position when it is probable that the future economic benefits will flow to the Group and the assets have cost or value that can be measured reliably. These assets are regularly evaluated for any impairment in value. Classification is based on actual realization of such advances considering the usage or realization of the asset to which it is intended for (e.g., inventory, property plant and equipment).

Prepayments

Prepayments are amounts paid in advance for goods and services that are yet to be delivered and from which future economic benefits are expected to flow to the Group within its normal

operating cycle or within 12 months from end of reporting period. These are measured at amortized cost less any impairment loss.

Value-Added Taxes (VAT)

Revenues, expenses, and assets are recognized net of the amount of VAT, if applicable. Input VAT pertains to the 12% indirect tax paid by the Group in the course of the Group's trade or business on local purchase of goods or services.

Deferred input VAT pertains to input VAT not yet charged against output VAT in compliance to relevant BIR regulations. This also includes the remaining unamortized portion of input VAT from acquisition of capital goods prior to January 1, 2022. Under the TRAIN Law, starting January 1, 2022, all input VAT on purchases of capital goods shall already be allowed to be claimed outright and shall no longer be subject to amortization. Output VAT pertains to the 12% tax due on the local sale of goods and services by the Group.

For its VAT-registered activities, when VAT from sales of goods and/or services (output VAT) exceeds VAT passed on from purchases of goods or services (input VAT), the excess is recognized as payable in the consolidated statement of financial position. When VAT passed on from purchases of goods or services (input VAT) exceeds VAT from sales of goods and/or services (output VAT), the excess is recognized as an asset in the consolidated statement of financial position up to the extent of the recoverable amount.

For its non-VAT registered activities, the amount of VAT passed on from its purchases of goods or service is recognized as part of the cost of goods/asset acquired or as part of the expense item, as applicable.

Investment in Associate

An associate is an entity in which the Group has significant influence, and which is neither a subsidiary nor a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investments in associates are accounted for using the equity method.

Under the equity method, the investment in associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share of net assets of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is neither amortized nor tested for impairment individually.

The consolidated statement of income reflects the Group's share of the results of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, when there has been a change recognized directly in the equity of the associate, the Group recognizes its share of any changes, when applicable, in the consolidated statement of changes in equity. Unrealized gains and losses resulting from transactions between the Group and the associate are eliminated to the extent of the interest in the associate.

The aggregate of the Group's share in profit or loss of an associate is shown on the face of the consolidated statement of income outside operating profit and represents profit or loss after tax and noncontrolling-interests in the subsidiaries of the associate. If the Group's share of losses of an associate equal or exceeds its interest in the associate, the Group discontinues recognizing its share to the extent of the interest in associate.

The financial statements of associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the

Group. Upon loss of significant influence over the associate, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognized in the consolidated statement of income.

Impairment of Nonfinancial Assets

The Group assesses at each reporting date whether there is an indication that its nonfinancial assets (investment in associate or joint venture, right-of-use assets, other current and noncurrent assets (except for financial asset at FVPL), and property, plant and equipment) may be impaired. If any such indication exists, or when an annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount.

Property, plant and equipment, right-of-use assets and other current and noncurrent assets

An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less cost to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that largely independent of those from other assets or group of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses are recognized in the consolidated statement of comprehensive income in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If any such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If such is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation or amortization, had no impairment loss been recognized for the asset in prior years.

For property, plant and equipment, right-of-use assets and other current and noncurrent assets, reversal is recognized in the consolidated statements of comprehensive income, unless the asset is carried at revalued amount, in which case, the reversal is treated as a revaluation increase. After such reversal, the depreciation charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Revenue and Income Recognition

Revenue from Contracts with Customers

The Group primarily derives its revenue from the sale of coal and power. Revenue from contracts with customers is recognized when control of the goods or services is transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services. The Group has generally concluded that it is acting as principal in all of its significant revenue arrangements since it is the primary obligor in these revenue arrangements.

The disclosures of significant accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 3.

Sale of coal

Revenue is recognized when control passes to the customer, which occurs at a point in time once the performance obligation to the customer is satisfied. The revenue is measured at the amount to which the Group expects to be entitled, being the price expected to be received upon final billing, and a corresponding trade receivable is recognized.

Revenue from local and export coal sales are denominated in Philippine Peso and US Dollar (US\$), respectively.

Contracted power sales

Contracted power sales pertain to sales of generated or purchased electricity to customers under Power Supply Agreement (PSA) and are recognized over time, using the output method. This is measured on actual energy delivered or nominated by the customer, net of adjustments, as agreed between parties.

Spot electricity sales

Revenue from spot electricity sales is derived from the sale to the spot market of excess generated electricity over the contracted energy using price determined by the spot market or Wholesale Electricity Spot Market (WESM) as mandated by Republic Act (RA) No. 9136 of the Department of Energy (DOE). Revenue from spot electricity sales is recognized over time using an output method measured principally on actual generation delivered to trading participants of WESM.

Under PFRS 15, the Group has concluded that revenue from power sales (contracted and spot sales) should be recognized over time since the customer simultaneously receives and consumes the benefits as the seller supplies power. In this case, any fixed capacity payments for the entire contract period is determined at contract inception and is recognized over time.

Finance income

Finance income is recognized as it accrues. The Group's finance income mainly pertains to interest on cash in banks and cash equivalents.

Other income

Other income is recognized when earned or when the right to receive payment is established. Other income includes recoveries from insurance claims which is recognized when receipts of economic benefits are virtually certain.

Cost of Sales

Cost of coal

Cost of coal includes directly related production costs such as materials and supplies, fuel and lubricants, outside services, depreciation and amortization, provision for decommissioning and mine site rehabilitation, direct labor and other related production overhead. These costs are recognized when incurred.

Cost of power

Cost of power includes costs directly related to the generation and sale of electricity such as cost of coal, coal handling expenses, bunker, lube, diesel, depreciation and other related generation overhead costs. Cost of power are recognized at the time the related coal, bunker, lube and diesel inventories are consumed for the generation of electricity. Cost of power also includes electricity purchased from the spot market and its related market fees. These costs are recognized when the Group receives the electricity and simultaneously sells to its customers.

Operating Expenses

Operating expenses are expenses that arise in the course of the ordinary operations of the Group. These usually take the form of an outflow or decrease of assets or incurrence of liabilities

that result in decrease in equity, other than those relating to distribution to equity participants. Expenses are recognized in the consolidated statement of comprehensive income as incurred.

Contract balances

Trade receivables

Trade receivables represent the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).

Contract fulfillment costs

The Group incurs shiploading costs for each coal delivery made under its contracts with customers.

The Group has elected to apply the practical expedient option for costs to fulfill a contract which allows the Group to immediately expense shiploading costs (presented as part of cost of sales under 'Hauling and shiploading costs') because the amortization period of the asset that the Group otherwise would have used is one (1) year or less.

Borrowing Costs

Borrowing costs directly relating to the acquisition, construction or production of a qualifying capital project under construction are capitalized and added to the project cost during construction until such time the assets are considered substantially ready for their intended use i.e., when they are capable of commercial production. Where funds are borrowed specifically to finance a project, the amount capitalized represents the actual borrowing costs incurred. Where surplus funds are available for a short term, out of money borrowed specifically to finance a project, the income generated from the temporary investment of such amounts is also capitalized and deducted from the total capitalized borrowing cost. Where the funds used to finance a project form part of general borrowings, the amount capitalized is calculated using a weighted average of rates applicable to relevant general borrowings of the Group during the period.

All other borrowing costs are recognized in the consolidated statement of comprehensive income in the period in which they are incurred.

Foreign Currency Translations and Transactions

The consolidated financial statements are presented in Philippine Peso. Each entity in the Group determines its own functional currency and items included in the consolidated financial statements of each entity are measured using that functional currency.

Transactions in foreign currencies are initially recorded in the functional currency rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency closing rate at the reporting date. All differences are taken to consolidated statement of income. Non-monetary items that are measured in terms of historical cost in foreign currency are translated using the exchange rates as at the dates of initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Pension Cost

The Group has a noncontributory defined benefit plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit liability at the end of reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plan is actuarially determined using the projected unit credit method.

Defined benefit costs comprise the following:

- Service costs
- Net interest on the net defined benefit liability or asset
- Remeasurements of net defined benefit liability or asset

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund or qualifying insurance policies. Plan assets are not available to the creditors of the Group, nor can they be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Termination benefit

Termination benefits are employee benefits provided in exchange for the termination of an employee's employment as a result of either an entity's decision to terminate before the normal retirement date or an employee's decision to accept an offer of benefits in exchange for the termination of employment.

A liability and expense for a termination benefit is recognized at the earlier of when the entity can no longer withdraw the offer of those benefits and when the entity recognizes related restructuring costs. Initial recognition and subsequent changes to termination benefits are measured in accordance with the nature of the employee benefit, as either post-employment benefits, short-term employee benefits, or other long-term employee benefits.

Employee leave entitlement

Employee entitlements to annual leave are recognized as a liability when they are accrued to the employees.

Leases

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is

dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

A reassessment is made after inception of the lease only if one of the following applies:

- (a) There is a change in contractual terms, other than a renewal or extension of the arrangement;
- (b) A renewal option is exercised or extension is granted, unless the term of the renewal or extension was initially included in the lease term;
- (c) There is a change in the determination of whether fulfillment is dependent on a specified asset; or
- (d) There is substantial change to the asset.

Where a reassessment is made, lease accounting shall commence or cease from the date when the change in circumstances gave rise to the reassessment for scenarios (a), (c), or (d) and at the date of renewal or extension period for scenario (b).

The Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the underlying assets.

“Right-of-use assets” are presented under noncurrent assets in the consolidated statement of financial position and are subject to impairment.

Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees.

The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

Short-term leases

The Group applies the short-term lease recognition exemption to its leases of office spaces, storage and warehouse spaces that have lease term of 12 months or less from the commencement date and do not contain a purchase option. Lease payments on these short-term leases are recognized as expense on a straight-line basis over the lease term.

Income Tax

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date in the countries where the Group operates and generates taxable income.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the consolidated statement of comprehensive income. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred income tax

Deferred income tax is determined, using the liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognized for all taxable temporary differences, with certain exceptions. Deferred income tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from the excess of minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT), and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient taxable income will be available against which the deductible temporary differences and carryforward of unused tax credits from MCIT and unused NOLCO can be utilized. Deferred income tax, however, is not recognized on temporary differences that arise from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income.

Deferred income tax liabilities are not provided on nontaxable temporary differences associated with investments in domestic subsidiaries.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable income will be available to allow all or part of the deferred tax assets to be utilized. Deferred income tax assets and liabilities are measured at the tax rates that are applicable to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognized in OCI or directly in equity is recognized in the consolidated statement of comprehensive income and consolidated statement of changes in equity and not in profit or loss. Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to offset current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

For periods where the income tax holiday (ITH) is in effect, no deferred taxes are recognized in the consolidated financial statements as the ITH status of the Parent Company and subsidiaries neither result in a deductible temporary difference or temporary taxable difference. However, for temporary differences that are expected to reverse beyond the ITH, deferred taxes are recognized.

Provisions

Provisions are recognized only when the Group has: (a) a present obligation (legal or constructive) as a result of a past event; (b) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and (c) a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate.

Provision for decommissioning and site rehabilitation costs

The Group records the present value of estimated costs of legal and constructive obligations required to restore operating locations in the period in which the obligation is incurred. The nature of these restoration activities includes closure of plants, dismantling and removing of structures, reforestation, rehabilitation activities on marine and rainwater conservation and maintenance of rehabilitated area.

The obligation generally arises when the asset is installed, or the ground environment is disturbed at the production location. When the liability is initially recognized, the present value of the estimated cost is capitalized by increasing the carrying amount of the related mining assets and restoration of power plant sites. Over time, the discounted liability is increased for the change in present value based on the discount rates that reflect current market assessments and the risks specific to the liability. The periodic unwinding of the discount is recognized in the consolidated statement of comprehensive income as a finance cost. Additional disturbances or changes in rehabilitation costs will be recognized as additions or charges to the corresponding assets and rehabilitation liability when they occur. For closed sites, changes to estimated costs are recognized immediately in the consolidated statement of comprehensive income.

Equity

The Group records common stocks at par value and amount of contribution in excess of par value is accounted for as an additional paid-in capital. Incremental costs incurred directly attributable to the issuance of new shares are deducted from proceeds.

Retained earnings represent accumulated earnings of the Group less dividends declared, if any. Dividends on common stocks are recognized as a liability and deducted from equity when they are declared. Dividends for the year that are approved after reporting date are dealt with as an event after reporting date. Retained earnings may also include effect of changes in accounting policy as may be required by the standard's transitional provisions.

Earnings per Share (EPS)

Basic EPS is computed by dividing the consolidated net income for the year attributable to common shareholders (net income less dividends on convertible redeemable preferred shares) by the weighted average number of common shares issued and outstanding during the year and adjusted to give retroactive effect to any stock dividends declared during the period.

Diluted EPS is computed by dividing the net income for the year attributable to common shareholders by the weighted average number of common shares outstanding during the year adjusted for the effects of dilutive convertible redeemable preferred shares. Diluted EPS assumes the conversion of the outstanding preferred shares. When the effect of the conversion of such preferred shares is anti-dilutive, no diluted EPS is presented.

Treasury Shares

Treasury shares pertains to own equity instruments which are reacquired and are carried at cost and are deducted from equity. No gain or loss is recognized in profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital. Voting rights related to treasury shares are nullified for the Group and no dividends are allocated to them. When the shares are retired, the capital stock account is reduced by its par value and the excess of cost over par value upon retirement is debited to additional paid-in capital when the shares were issued, and to retained earnings for the remaining balance.

Operating Segments

The Group's operating businesses are organized and managed separately according to the nature of the products and services provided, with each segment representing a strategic business unit that offers different products and serves different markets. The President is the chief operating decision maker. The Group generally accounts for intersegment revenues and expenses at agreed transfer prices. Income and expenses from discontinued operations are reported separate from normal income and expenses down to the level of income after taxes. Financial information on operating segments is presented in Note 31 to the consolidated financial statements.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to consolidated financial statements unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but disclosed when an inflow of economic benefits is probable. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the consolidated financial statements. If it has become virtually certain that an inflow of economic benefits will arise, the asset and the related income are recognized in the consolidated financial statements on the period in which the change occurs.

Events after Reporting Date

Post year-end events up to the date of the auditors' report that provides additional information about the Group's position at reporting date (adjusting events) are reflected in the consolidated financial statements. Any post year-end event that is not an adjusting event is disclosed when material to the consolidated financial statements.

3. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the unaudited condensed consolidated financial statements in conformity with PFRS requires management to make judgments, estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. The judgments, estimates and assumptions used in the consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the consolidated financial statements. Actual results could differ from such estimates.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results could differ for such estimates.

Judgment

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations which have the most significant effect on the amounts recognized in the consolidated financial statements:

a. Revenue recognition - method and measure of progress

The Group applied the following judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers:

The Group concluded that revenue from coal sales is to be recognized at a point in time as the control transfers to customers at the date of shipment.

On the other hand, the Group's revenue from power sales (both contract energy and spot electricity sales) is to be recognized over time because the customer simultaneously receives and consumes the benefits provided by the Group. The fact that another entity would not need to re-perform the delivery of power that the Group has provided to date demonstrates that the customer simultaneously receives and consumes the benefits as the Group performs its obligation.

The Group has determined that output method used in measuring the progress of the performance obligation faithfully depicts the Group's performance of its obligation to its customers, since the customer obtains the benefit from the Group's performance based on actual energy delivered each month.

b. Determination of components of ore bodies and allocation measures for stripping cost allocation

The Group has identified that each of its two active mine pits, Narra and Molave, is a whole separate ore component and cannot be further subdivided into smaller components due to the nature of the coal seam orientation and mine plan.

Judgment is also required to identify a suitable production measure to be used to allocate production stripping costs between inventory and any stripping activity asset(s) for each component. The Group considers that the ratio of the expected volume of waste to be stripped for an expected volume of ore to be mined for a specific component of the coal body (i.e., stripping ratio) is the most suitable production measure. The Group recognizes stripping activity asset by comparing the actual stripping ratio during the year for each component and the component's mine life stripping ratio.

c. Classification of asset held-for-sale

The Group classified its 2x25 MW gas turbine plant as asset held-for-sale under PFRS 5, *Noncurrent Assets Held-for-Sale and Discontinued Operations*, as result of the assessment that the assets' carrying amount will be recovered principally through a sale transaction rather than through continuing use.

The following criteria are met:

- a) The asset is available for immediate sale in its present condition.
- b) The sale is highly probable to be completed within 12 months from the classification date.
- c) The Group is committed to sell the 2x25 MW gas turbine plant as evidenced by the approval of the Group's BOD on August 2, 2022, and the clearances obtained from relevant government agencies.
- d) The Group has initiated an active programme to locate a buyer upon approval of the BOD.
- e) The Group determined that it is unlikely that the plan will be significantly changed or withdrawn.

The Group identified that the above criteria are met in October 2022 upon completely securing all relevant clearances from regulatory bodies to disconnect, deregister, decommission and sell the asset and reclassified the asset as held-for-sale.

d. Contingencies

The Group is currently involved in various legal proceedings and other claims. The estimate of the probable costs for the resolution of these claims has been developed in consultation

with internal and outside counsels handling the Group's defense in these matters and is based upon an analysis of potential results. The Group currently believes that these claims will not have a material adverse effect on its current financial position and results of operations. It is possible, however, that future results of operations and financial position could be materially affected by changes in the assessment or in the effectiveness of the strategies relating to these proceedings.

e. Determination of lease term of contracts with renewal and termination options - Group as a lessee

The Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Group applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customization to the leased asset).

The Group did not include the renewal and termination period of several lease contracts since the renewal and termination options is based on mutual agreement, thus not enforceable.

Management's Use of Estimates and Assumptions

The key assumptions concerning the future and other sources of estimation uncertainty at reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

a. Estimating mineable ore reserves

The Group uses the mineable ore reserve in the determination of the amount of amortization of mine properties using units-of-production method. The Group estimates its mineable ore reserves based on the assessment performed by the external and internal specialist engaged by the Group, who are professionally qualified mining engineers and geologists (specialists). These estimates on the mineable ore resource and reserves are determined based on the information obtained from activities such as drilling, core logging or geophysical logging, coal sampling, sample database encoding, coal seam correlation and geological modelling.

The carrying values of mine properties included as part of 'Mine properties, mining tools and other equipment' under 'Property, plant and equipment' amounted to ₱2,424.29 million and ₱3,838.25 million as of June 30, 2025 and December 31, 2024, respectively.

b. Estimating provision for expected credit losses of trade and other receivables

The Group uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., by customer type).

The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information such as inflation and foreign exchange rates. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The assessment of the correlation between historical observed default rates, forecast economic conditions, and ECL is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

The Group has considered impact of COVID-19 pandemic and revised its assumptions in determining the macroeconomic variables and loss rates in the computation of ECL. The changes in the gross carrying amounts of receivables during the year and impact of COVID-19 pandemic did not materially affect the allowance for ECLs.

c. *Estimating stockpile inventory quantities*

The Group estimates the stockpile inventory of clean and unwashed coal by conducting a topographic survey which is performed by in-house and third-party surveyors. The survey is conducted by in-house surveyors on a monthly basis with a confirmatory survey by third party surveyors at year end. The process of estimation involves a predefined formula which considers an acceptable margin of error of plus or minus five percent (5%). Thus, an increase or decrease in the estimation threshold for any period would differ if the Group utilized different estimates and this would either increase or decrease the profit for the year.

The coal inventory as of June 30, 2025 and December 31, 2024 amounted to ₱3,542.80 million and ₱1,389.51 million, respectively.

d. *Estimating allowance for obsolescence in spare parts and supplies*

The Group provides 100% allowance for obsolescence on items that are specifically identified as obsolete. The amount of recorded inventory obsolescence for any period would differ if the Group made different judgments or utilized different estimates. An increase in the allowance for inventory obsolescence would increase the Group's recorded operating expenses and decrease its current assets.

e. *Estimating recoverability of capitalized development costs*

Initial capitalization of costs is based on management's judgment that technological and economic feasibility is confirmed. In determining the amounts to be capitalized, management makes assumptions regarding the expected future cash generation of the project, discount rates to be applied and the expected period of benefits.

f. *Estimating provision for decommissioning and site rehabilitation costs*

The Group is legally required to fulfill certain obligations under its Department of Environment and Natural Resources (DENR) issued Environmental Compliance Certificate when its activities have ended in the depleted mine pits. The Group assesses its mine rehabilitation provision annually. Significant estimates and assumptions are made in determining the provision for decommissioning and mine site rehabilitation costs as there are numerous factors that will affect the ultimate liability. These factors include estimates of the extent and costs of rehabilitation activities given the approved decommissioning and mine site rehabilitation plan, (e.g., cost of backfilling, reforestation, rehabilitation activities on marine and rainwater conservation and maintenance of the rehabilitated area), technological changes, regulatory changes, cost increases, and changes in inflation rates and discount rates. These uncertainties may result in future actual expenditure differing from the amounts currently provided.

An increase in decommissioning and site rehabilitation costs would increase the carrying amount of the related assets and increase noncurrent liabilities. The provision at reporting date represents management's best estimate of the present value of the future rehabilitation costs required. Assumptions used to compute the decommissioning and site rehabilitation costs are reviewed and updated annually.

g. Impairment assessment of nonfinancial assets

The Group reviews its nonfinancial assets for impairment. This includes considering certain indicators of impairment such as the following:

- Significant or prolonged decline in the fair value of the asset;
- Increase in market interest rates or other market rates of return on investments have increased during the period, and those increases are likely to affect the discount rate used in calculating the asset's value-in-use and decrease the asset's recoverable amount materially;
- Significant underperformance relative to expected historical or projected future operating results;
- Significant changes in the manner of use of the acquired assets or the strategy for overall business;
- Significant negative industry or economic trends; or
- Significant changes with an adverse effect that have taken place in the technological, market, economic or legal environment where the Group operates.

When indicators exist, an impairment loss is recognized whenever the carrying amount of an asset exceeds its recoverable amount.

Management believes that no impairment indicator exists for the Group's other nonfinancial assets.

h. Estimating useful lives of depreciable property, plant and equipment

The Group estimated the useful lives of its property, plant and equipment (except land, equipment in transit and construction in progress) based on the period over which the assets are expected to be available for use. The estimated useful lives of property, plant and equipment are reviewed at least annually and are updated if expectations differ from previous estimates due to physical wear and tear and technical or commercial obsolescence on the use of these assets.

It is possible that future results of operations could be materially affected by changes in these estimates brought about by changes in factors mentioned above. A reduction in the estimated useful lives of property, plant and equipment would increase depreciation expense and decrease noncurrent assets.

In estimating the useful life of depreciable assets that are constructed in a leased property, the Group considers the enforceability of and the intent of management to exercise the option to purchase the leased property. For these assets, the depreciation period is over the economic useful life of the asset which may be longer than the remaining lease period.

i. Deferred tax assets

The Group reviews the carrying amounts of the deferred income tax assets at each end of the reporting period and reduces deferred income tax assets to the extent that it is no longer probable that sufficient future taxable profit will be available to allow all or part of the deferred income tax assets to be utilized. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies. However, there is no assurance that the Group will utilize all or part of the deferred income tax assets.

Net deferred tax assets as of June 30, 2025 and December 31, 2024 amounted to ₱696.07 million.

j. Estimating pension and other employee benefits

The cost of defined benefit pension plan and the present value of the pension liabilities are determined using actuarial valuations. The actuarial valuation involves making various assumptions. These assumptions are described and include among others, the determination of the discount rates and future salary increases. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, defined benefit liabilities are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of government bonds that are denominated in the currency in which the benefits will be paid, with extrapolated maturities corresponding to the expected duration of the defined benefit liability.

The mortality rate is based on publicly available mortality tables for the specific country and is modified accordingly with estimates of mortality improvements. Future salary and pension increases are based on management's assumption aligned with the future inflation rates.

k. Estimating the incremental borrowing rate

The Group cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for subsidiaries that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the subsidiary's stand-alone credit rating). This rate reflects the amount that the entity would need to borrow over the term of the lease.

l. Fair value measurement of financial instruments

When the fair values of financial assets and financial liabilities recorded in the consolidated statement of financial position cannot be measured based on quoted prices in active markets, fair value is measured using valuation techniques using the market data approach (i.e., Monte Carlo simulation). The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions relating to these factors could affect the reported fair value of financial instruments.

m. Determination of fair value less cost to sell

The Group estimated the recoverable amount of the 2 x 25 MW gas turbine plant based from offers received from buyers in the advanced stage of negotiations, conducted at arm's length, for similar assets or observable market prices less incremental costs of disposing the asset (e.g., dismantling and handling costs).

**MANAGEMENT'S DISCUSSION AND ANALYSIS
OF CONSOLIDATED RESULTS OF OPERATIONS AND FINANCIAL CONDITION
AS OF AND FOR THE PERIODS ENDED JUNE 30, 2025 AND 2024**

June 30, 2025 (Unaudited) vs June 30, 2024 (Unaudited)

I. RESULTS OF OPERATIONS

The table below summarizes the performance of Semirara Mining and Power Corporation (SMPC), its operating subsidiaries SEM-Calaca Power Corporation (SCPC) and Southwest Luzon Power Generation Corporation (SLPGC), associate Concreat Holdings Philippines (CHP) and other non-operating subsidiaries, collectively referred to as “the Group” for the periods ended June 30, 2025 and 2024.

- SMPC (referred to as the Coal Segment) is a vertically-integrated power generator that runs on its own fuel. The largest domestic coal producer, it supplies affordable fuel to power plants, cement factories and other industrial facilities across the Philippines. It also exports coal to China, South Korea, Brunei, and other nearby markets.
- SCPC and SLPGC (collectively referred to as the Power Segment) generate baseload power for the national grid. Both supply electricity through bilateral contract quantity (BCQ) and the wholesale electricity spot market (WESM).
- Associate CHP is a major cement manufacturer in the country, producing high-quality cement under the brands APO, Rizal, Island, including Ordinary Portland Cement (OPC), which is used in large-scale projects. SMPC holds a 10% stake in CHP after its acquisition of Cemex Holdings Philippines (its former corporate name) on December 2, 2024.

In Php Millions except EPS	April to June (Q2)			January to June (H1)		
	2025	2024	Change	2025	2024	Change
Coal	1,841	3,139	-41%	4,258	7,395	-42%
Power	2,329	2,913	-20%	4,343	5,195	-16%
CHP	(102)	-	-100%	(182)	-	-100%
Core Net Income	4,068	6,052	-33%	8,419	12,590	-33%
Nonrecurring Items	-	-	0%	-	-	0%
Reported Net Income	4,068	6,052	-33%	8,419	12,590	-33%
EPS (reported)	0.96	1.42	-33%	1.98	2.96	-33%

Q2 2025 vs Q2 2024 Consolidated Highlights

- The SMPC Group reported a net income of P4.07 billion, a 33% decline from P6.05 billion, mainly due to soft energy market conditions and the recognition of an equity loss from its cement associate. This translated to lower earnings per share of P0.96, compared to P1.42 in the same period last year.

On a quarter-over-quarter basis, group earnings slipped by 6%, from P4.35 billion, as muted coal segment performance, offset the improved results of the power segment, which benefited from price uptick and stronger plant operations.

- Total revenues declined by 18%, from P18.17 billion to P14.82 billion, largely reflecting lower selling prices in coal segment and weaker spot market prices in the power segment.
- Meanwhile, total cash costs fell by 14%, a slower pace than topline, from P9.74 billion to P8.34 billion, due to reductions in direct costs, government share and operating expenses.

Breaking this down further, the cash component of COS decreased by 10%, from P6.94 billion to P6.26 billion, mainly on the back of a high-base effect from last year's payment of industrial all-risk (IAR) insurance premiums of coal segment, as well as lower materials costs, improved access to coal seams and reduced power generation expenses.

Government share dropped by 34% from P1.73 billion to P1.13 billion, on the combined effect of weaker coal revenues and lower total production costs.

Operating expenses also contracted by 11%, from P1.07 billion to P954 million, mainly from reduced maintenance requirements in the power segment.

As a result, core EBITDA decreased by 23% from P8.43 billion to P6.48 billion, with the core EBITDA margin narrowing slightly from 46% to 44%.

- Net income margin narrowed to 27%, down from 33% last year but slightly above the pre-pandemic level of 26% in Q2 2019. This reflected higher depreciation and amortization (D&A) expenses, the recognition of an equity net loss from its cement associate and lower finance income.
- D&A expenses rose by 17% from P1.66 billion to P1.95 billion, due to the acquisition of new mining equipment and increased amortization of the capitalized stripping asset for Narra mine, and capital expenditures related to the SCPC Unit 2's generator replacement and upgrades to the fuel and feed systems.
- In contrast, other income surged more than fourfold (+359%), from P32 million to P147 million, on the back of higher net foreign exchange gains and miscellaneous income from the coal segment.
- The group also recognized an equity net loss of P102 million from its cement associate, which had no contribution in the same period last year.
- Net finance income dropped sharply, from P106 million to P6 million, reflecting the combined impact of lower average cash balances, reduced interest income, and lower prevailing placement rates, despite a decline in loans payable.

- Provision for income taxes decreased by 40%, from P852 million to P512 million, due to lower taxable income in the power segment and a reduced tax impact from realized foreign exchange gains in the coal segment.
- No nonrecurring item was recorded during the period.
- Contributions from both segments declined, reflecting lower selling prices and eliminating entries attributed to the power segment.
- The power business accounted for 58% of group net income, up from 48% last year, while the coal segment contributed 42% (including CHP), down from 52%, reflecting the shift in earnings mix.

H1 2025 vs H1 2024 Consolidated Highlights

- The SMPC Group posted a net income of P8.42 billion, a 33% decline from P12.59 billion in the same period last year, primarily due to the continued normalization in coal and spot electricity prices, and the recognition of an equity net loss from its cement associate.

As a result, earnings per share dropped to P1.98, from P2.96, equivalent to a 15% return on equity over the six-month period.

- Total revenues fell by 14%, from P36.59 billion to P31.33 billion, as softer coal index benchmarks and weaker electricity spot prices, cushioned by improved power segment generation.
- Total cash costs declined by 8%, slower pace than topline, from P19.78 billion to P18.16 billion, on the combined effect of flattish cash component of COS, uptick in operating expenses and lower government share.

The cash component of COS stood at P13.63 billion, 1% down from P13.81 billion, as increased electricity sales was cushioned by efficient fuel management.

Meanwhile, government share payments contracted by 40%, from P3.76 billion to P2.26 billion, tracking the decline in coal revenues and flattish production costs.

Operating expenses were largely stable, inching up by 3%, from P2.20 billion to P2.27 billion, mainly from higher insurance premiums, additional plant maintenance costs and increased ICT-related expenditure.

Consequently, core EBITDA contracted by 22%, from P16.82 billion to P13.17 billion, with EBITDA margin declining from 46% to 42%.

- Net income margin declined to 27%, from 34%, due to higher depreciation and amortization, an equity net loss from the Group's cement associate (P182 million), and lower finance income, partly offset by higher other income from foreign exchange gains and miscellaneous income.

- No nonrecurring items were recorded during the period.
- The power segment accounted for 52% of group net income, while the coal segment contributed 51%. The cement associate (CHP) posted a negative 2% contribution, following the recognition of equity net losses.
- On March 24, 2025, the company declared regular (P1.25/share) and special (P0.75/share) cash dividends, totaling P2.00/share or P8.50 billion, equivalent to 43% of 2024's reported net income of P19.63 billion—well above the Group's 20% minimum dividend policy.
- As of June 30, 2025, the Group remained in a strong financial position, with total assets at P69.11 billion, slightly lower than the P71.20 billion recorded at year-end 2024:
 - Cash and cash equivalents declined by 28%, from P9.47 billion to P6.84 billion, following dividend payments (P8.50 billion), capital expenditures (P4.47 billion), and debt servicing (P1.17 billion), partially cushioned by strong operating cash flows.
 - Loans payable dropped by 44%, from P2.64 billion to P1.47 billion, due to regular amortizations and no new borrowings, contributing to a lower debt-to-equity ratio of 0.22, from 0.26.
 - Current ratio improved to 2.63, from 2.35, supported by a 20% increase in inventories, despite the decline in cash balance.
 - Book value per share held steady at P13.28, from P13.30, as the earnings for the six-month period offset the impact of cash dividend distributions.

Q2 2025 vs Q2 2024 Segment Performance

Coal

At the standalone level, coal revenues contracted by 20% to P10.27 billion, from P12.81 billion, primarily due to weaker selling prices stemming from lower quality sold.

Reported net income declined by 40%, from P3.73 billion to P2.24 billion, following the drop in revenues, lower finance income, and higher depreciation and amortization.

Net of intercompany eliminations, net income decreased by 41%, from P3.14 billion to P1.84 billion. Eliminating entries likewise declined by 31%, from P593 million to P407 million, mainly due to the impact of efficient coal blending by the power segment and lower coal selling prices, which compressed gross margins.

Eliminating entries represent the gross margins from intercompany transactions between the coal and power segments.

To further elaborate on the segment's financial performance:

- **Normalizing prices.** The average selling price (ASP) of Semirara coal fell by 20%, from P2,780/MT to P2,223/MT, due to the combined effect of stabilizing global market indices and a higher proportion of lower-quality and non-commercial grade coal shipments.

Average Newcastle index (NEWC) declined by 26%, from US\$135.6 to US\$100.5, while Indonesian Coal Index 4 (ICI4) dropped by 16%, from US\$55.0 to US\$46.4, slower than NEWC. Quarter-over-quarter, NEWC slid by 4% from US\$104.6, while ICI4 slipped by 6% from US\$49.3.

Despite these declines, average 2025 NEWC and ICI4 prices remained above pre-pandemic (2019) levels at US\$79.9 (+26%) and US\$37.5 (+31%), respectively.

Shipments of non-commercial grade coal rose by 31%, from 1.6 MMT to 2.1 MMT, increasing its share of total quarterly sales from 35% in 2024 to 46% in 2025.

- **Flattish shipments.** Total coal shipments stood at 4.6 MMT for both periods, as increased own plant sales offset lower foreign shipments.

Foreign shipments fell by 8%, from 2.4 MMT to 2.2 MMT, attributable to a decline in shipments to China (down from 2.3 MMT to 1.8 MMT), partly offset by increased shipments to South Korea and new export markets India and Vietnam.

China remained the primary export destination, accounting for 85% of total export sales, followed by South Korea (7%), India (3%), Vietnam (3%), and Brunei (2%).

Meanwhile, domestic shipments grew by 9%, from 2.2 MMT to 2.4 MMT, with deliveries to own plants rising by 30% due to higher generation.

- **Margins moderated slightly.** Core EBITDA dropped by 24%, from P4.90 billion to P3.75 billion, while margin slipped from 38% to 36%, on weaker revenues and higher operating expenses. Meanwhile, net income margin narrowed from 29% to 22%, amid higher depreciation and thinner price-cost spreads.

Revenues declined by 20%, from P12.81 billion to P10.27 billion, while total cash costs dropped by 18%, from P7.91 billion to P6.53 billion, because of lower government share and cash component of cost of sales.

The cash component of cost of sales fell by 13%, from P6.04 billion to P5.23 billion, reflecting better access to coal seams and a high base effect from the payment of industrial all-risk (IAR) insurance premium last year. Government share dropped by 34%, from P1.73 billion to P1.13 billion, due to the lower topline.

Operating expenses rose by 14%, from P146 million to P167 million, on higher ICT-related and labor-related expenses.

- **Rising noncash items.** Depreciation and amortization expenses surged by 39%, from P1.11 billion to P1.54 billion, largely due to the acquisition of new mining equipment over the past twelve months and increased amortization of the Narra mine stripping asset. In 2024, P1.36 billion was capitalized for the Narra mine stripping.
- **Other income up.** Other income shifted from P69 million in expenses to P50 million, largely due to net foreign exchange gains.

- **Lower finance income.** Net finance income dropped from P87 million to breakeven, driven by reduced cash balances and lower interest income from short-term placements, cushioned by lower loans payable.

Beginning cash balances declined by 60%, from P19.70 billion to P7.97 billion (March 2024 versus March 2025), while loans payable decreased by 33%, from P670 million to P447 million.

The segment also reported the following operational highlights:

- **Higher production.** Coal output rose by 8%, from 5.2 MMT to 5.6 MMT, on improved access to coal seams at Narra North Blocks 3 and 4 and West Block 2.

Material movement slipped by 2%, from 63.8 million bank cubic meters (MBCM) to 62.15 MBCM, while strip ratio improved from 11.4 to 10.4.

For the full year, the strip ratio is projected to average at 10.4, 15% improvement than the 12.2 recorded in FY2024.

- **Healthy inventory.** Ending total coal inventory grew by 13%, from 2.4 MMT to 2.7 MMT, while commercial-grade inventory registered a 33% drop, from 1.2 MMT to 0.8 MMT, reflecting higher demand for mid-grade coal.

Quarter-on-quarter, total stockpile jumped by 50%, from 1.8 MMT, while commercial-grade inventory likewise grew by 33%, from 0.6 MMT, attributable to strong production levels.

Power

Standalone segment revenues fell by 6%, from P6.86 billion to P6.47 billion, mainly due to lower selling prices, partly offset by stronger plant performance.

Core EBITDA contracted by 15%, from P3.67 billion to P3.12 billion, with margin moderating slightly from 53% to 48%, due to weaker selling prices and higher generation costs following greater electricity sales.

Reported net income dropped by 16%, from P2.30 billion to P1.94 billion, while net margin narrowed slightly from 34% to 30%, largely due to reduced core EBITDA, higher depreciation, and lower net finance income.

Net of intercompany eliminations, reported net income declined by 20%, from P2.91 billion to P2.33 billion. No non-recurring items were recorded during either period.

The segment's results are attributable to the following:

- **Stronger plant availability.** Overall plant availability rose from 81% to 87%, driven by a reduction in outage days (from 69 to 48). SCPC's performance offset downtime at SLPGC.

SCPC's availability climbed from 71% to 90%, benefiting from a high base effect in outage days (reduced from 53 to 18) as Unit 2's 77-day planned maintenance was completed between March 6 and May 22, 2024, restoring its dependable 300 MW capacity.

Meanwhile, SLPGC's availability declined from 91% to 84%, following an increase in outage days (from 16 to 30) caused by boiler tube leak incidents.

- **Expanded average capacity.** Total average capacity during running days inched up by 2%, from 801 MW to 815 MW, as SCPC's capacity rose from 503 MW to 524 MW, offsetting a slight drop in SLPGC's output (from 298 MW to 291 MW) due to deration.
- **Higher generation and sales.** With better capacity and uptime, gross generation increased by 16%, from 1,352 GWh to 1,566 GWh, primarily from SCPC. Total power sales also expanded by 17%, from 1,228 GWh to 1,435 GWh, with the share of spot sales declining slightly to 56%, from 59% last year, due to increased BCQ volumes.
- **Rising BCQ volumes.** BCQ sales surged by 27%, from 500 GWh to 638 GWh, following a 142% jump in contracted capacity, from 238.2 MW to 334.4 MW at the beginning of the period (March 2024 vs. March 2025).

Spot market sales likewise increased by 9%, from 728 GWh to 797 GWh, supported by greater spot exposure, which rose from 413.1 MW to 421.6 MW, net of station service.

Station service refers to electricity used internally to power lights, motors, control systems, and other auxiliary systems within the plant.

- **Weaker ASP.** Overall average selling price (ASP) fell by 19%, from P5.58/kWh to P4.51/kWh. BCQ ASP climbed by 11%, from P4.62/kWh to P5.15/kWh, driven by new and renegotiated contracts.

On the other hand, spot ASP dropped by 36%, from P6.25/kWh to P4.00/kWh, reflecting wider supply margins and lower fuel costs in the Wholesale Electricity Spot Market (WESM).

- **Rising cash costs.** Total cash costs rose by 5%, from P3.20 billion to P3.35 billion, mainly due to higher generation volume, partly offset by more efficient fuel management and a decline in operating expenses.

The cash component of cost of sales increased by 13%, from P2.27 billion to P2.57 billion, while operating expenses declined by 15%, from P925 million to P786 million, due to lower maintenance spending following stronger plant reliability.

- **Higher D&A.** Depreciation and amortization expenses grew by 8%, from P714 million to P769 million, in line with capital expenditures for SCPC Unit 2's generator replacement and upgrades to the fuel and feed systems.
- **Lower other income.** Other income declined slightly by 5%, from P102 million to P97 million, mainly due to lower fly ash sales.

- **Reduced net finance income.** Net finance income fell from P19 million to P5 million, due to smaller cash balances and reduced interest income from placements, tempered by lower loan obligations.

Beginning cash balances dropped by 57%, from P5.30 billion to P2.27 billion, while loans payable decreased by 68%, from P4.99 billion to P1.60 billion.

The segment also reported the following operational updates:

- **Growing contracted capacity.** As of June 30, 2025, the power segment had 320.4 MW of contracted capacity, accounting for 42% of its net selling capacity of 756 MW. Of this total, 8% included a fuel pass-through clause.

SCPC accounted for 244.5 MW or 76% of the contracted volume, while SLPGC contributed 75.9 MW.

After excluding station service requirements of 84 MW, the segment maintained 435.6 MW of net spot exposure.

- **Moderate spot purchases.** Spot purchases increased by 184%, from P13 million to P37 million, due to higher station service needs following forced outages.

The segment remained a net seller to the spot market by 785 GWh, compared to 725 GWh in Q2 2024.

CAPEX

In the second quarter and first half of 2025, group capital expenditures rose significantly, driven primarily by the coal segment's re-fleeting initiatives and acquisitions of mining, support equipment, as well as SLPGC's plant maintenance activities. This increase was partially offset by lower power segment spending, given the completion of major works last year, including the rewinding of SCPC Unit 2.

In Php billions	Q2 2025	Q2 2024	Change	H1 2025	H1 2024	Change
Coal	1.8	1.1	64%	3.9	2.2	77%
Power	0.2	0.3	-33%	0.6	1.0	-40%
Total	2.0	1.4	43%	4.5	3.2	41%

For full-year 2025, group capex is projected to increase by 30%, from P5.3 billion to P6.9 billion, led by the coal segment, which continues to invest in equipment upgrades and fleet expansion. These investments support the Group's expanded mining program, with annual maximum mining capacity raised to 20 MMT, following the approval of its updated Environmental Compliance Certificate (ECC) in May.

In Php billions	2025F	2024A	Change
Coal	5.8	3.5	66%
Power	1.1	1.8	-39%
Total	6.9	5.3	30%

Meanwhile, capital investments for the power segment are expected to decline by 39%, from P1.8 billion to P1.1 billion, primarily due to a high base effect from the SCPC Unit 2's generator replacement. In 2025, the power segment-related capex will focus on maintenance activities and system upgrades aimed to enhance fuel and feed efficiency.

For 2025, the coal segment is projected to account for 84% of the group's total capex, with power segment accounting for the remaining 16%.

Market Review and Outlook

Coal

From April to July 2025, Asian coal prices continued to soften due to weaker demand in China and India, rising domestic production, and a shift toward mid- and high-calorific coal. Indonesia's exports declined by around 12% year-on-year as buyers turned to alternative suppliers like Mongolia, South Africa, and Russia.

This shift pressured benchmark price, with the average Newcastle (NEWC) index dropped by 26%, from US\$135.6 to US\$100.5, while the Indonesian Coal Index 4 (ICI4) declined more gradually, by 16%, from US\$55.0 to US\$46.4. Quarter-over-quarter, NEWC slipped by 4%, from US\$104.6, while ICI4 fell by 6% from US\$49.3.

In the near term, regional coal prices are expected to remain under pressure, weighed down by high inventories, strong domestic output, and growing renewable and nuclear generation. While China and India maintain cautious import levels, seasonal factors such as industrial restocking and winter demand could offer some support.

Amid these shifts, SMPC's commercial-grade coal—mainly in the 5,600 to 5,100 kcal/kg range—aligns well with current trade preferences. Meanwhile, lower-grade output is used for internal generation. The company is also diversifying its export base, with renewed shipments to Vietnam and India, and higher volumes to Brunei and South Korea in the first half of 2025.

SMPC remains focused on cost efficiency, operational improvements, and production growth. Ongoing exploration at the Acacia mine and the recent Environment Compliance Certificate (ECC) amendment raising production capacity to 20 MMT are expected to support scale and competitiveness.

For 2025, the company expects average benchmark prices of US\$107.4 for NEWC and US\$44.3 for ICI4, with full-year production and shipment targets of 18.2 MMT and 16.8 MMT, respectively.

Power

In the second quarter of 2025, average spot prices in the Luzon-Visayas grid declined by 42% year-on-year—from P6.91/kWh to P4.04/kWh—driven by additional power capacity, less outages, and modest demand growth, which continued to expand supply margins. This followed a first-quarter average of P3.63/kWh, bringing the first-half average to P3.84/kWh, 33% lower than the P5.76/kWh recorded in the same period last year.

Average supply during the quarter rose by 12%, from 14,466 MW to 16,199 MW, while average demand dipped slightly by 1% to 12,861 MW. This supply-demand dynamic continues to place downward pressure on spot prices, despite higher seasonal consumption. *(Supply figures exclude approximately 1,600 MW of more expensive, oil-based peaking capacity.)*

For full-year 2025, SMPC expects spot prices to average P3.61/kWh, down 30% from P5.14/kWh in 2024. Additional capacity is expected to further improve supply margins, with around 1,500 MW in new capacity—including solar, wind, and coal—anticipated to come online before year-end.

To manage market volatility and maintain competitiveness, management remains focused on improving operational efficiencies and aims to contract around two-thirds of its net selling capacity through bilateral power supply agreements.

While near-term prices may remain tempered by capacity oversupply, medium-term fundamentals remain constructive. Sustained economic recovery, increasing electrification, and growing industrial demand are expected to fuel long-term growth in electricity consumption, supporting the need for both baseload capacity and renewable integration in the Philippine grid.

II. Explanation on movements of accounts

A. Consolidated Statement of Income

Revenue

Consolidated revenue for the first half contracted by 14% from P36.6 billion in 2024 to P31.3 billion in 2025 following lower market prices for both coal and power segments coupled with higher proportion of non-commercial grade coal shipments.

Cost of Sales

Cost of sales went up by 2% to P17.5 billion driven by higher coal production and power generation.

Operating Expenses

Operating expenses declined by 24% to P4.6 billion during the first half of 2025 as government royalties stood at P2.3 billion, 45% down from P3.8 billion owing to lower coal revenues and higher production costs. Excluding government royalties, operating

expenses increased by 3% to P2.3 billion on higher insurance premiums, plant maintenance and ICT-related expenses.

Finance Cost

Consolidated finance costs lowered by 48% to P115 million following the continuous repayment of bank loans.

Finance Income

Consolidated finance income down by 69% to P160 million due to lower cash balance and placement rates.

Forex Gains (Losses) - Net

Net forex gains stood at P125 million, an increase of 620% from last year on the back of Philippine Peso depreciation against the US Dollar where forex payments exceed our forex collections.

Share in net income (loss) of associate

The Group also recognized a P182 million equity in net loss of Concreat Holdings Philippines (CHP) which represents its 10% effective stake acquired on December 2, 2024.

Other Income

Other income climbed by 24% mainly due to insurance claims and other various non-coal related collections of the coal segment.

Provision for Income Tax

Income taxes dipped by 21% due to lower taxable income.

B. Consolidated Statement of Financial Position

The Company's financial condition for the period remained healthy as consolidated total assets as of June 30, 2025 ended at P69.1 billion, a 3% down from P71.2 billion at the end of 2024. Meanwhile, total equity remained flattish at P56.4 billion as net income during the first six months offset dividend declaration in March 2025.

Consolidated cash and cash equivalents declined by 28% from P9.5 billion on December 31, 2024 to P6.8 billion on June 30, 2025 due to the combined effect of P11.5 billion cash generation from operations, higher capex payments, continuous loan repayments and dividend payment in April 2025.

Receivables slipped by 7% from P7.6 billion of December 2024 to P7.0 billion as collections more than offset generated revenues during the first half of 2025.

Consolidated inventories increased by 20% to P14.4 billion due mainly to higher coal and fuel inventory.

Other current assets higher by 11% to P1.3 billion due mainly to prepayments of insurance and advances made to suppliers and contractors for the acquisition of materials and supplies.

Property, plant and equipment (including right-of-use assets and deferred mine exploration costs) stood at P36.9 billion, lower by 4% from P38.2 billion last year as depreciation and amortization more than offset capital expenditures for the first half of 2025.

Investment in associate declined by 12% mainly due to the share in net loss from CHP during the first half of 2025.

Other noncurrent assets swelled by 31% on additional software cost and advances to suppliers and contractors.

Accounts and other payables down by 8% owing to lower government royalties.

Long-term debts decelerated by 44% to P1.5 billion following bank loan repayments.

Lease liabilities (current and noncurrent) lowered by 14% due to lease payments.

Provision for decommissioning and site rehabilitation pertains to accrual for estimated cost of rehabilitation activities for the mine site and dismantling and restoration activities on its powerplant site.

Pension liabilities grew by 22% following accrual of retirement expense during the first half of 2025.

Decrease in other noncurrent liabilities pertain to amortization of deferred rent income of SLPGC.

Consolidated retained earnings stood at P46.4 billion at end of June 2025, almost no movement from P46.5 billion at 2024 year-end after generation of P8.4 billion net income and declaration of P8.5 billion SMPC Parent dividends.

III. Performance Indicators

1. Net income after tax – declined by 33% following the continued normalization of coal and WESM prices and recognition of an equity net loss from its cement associate.
2. Dividend payout – the Parent Company declared P1.25 per share regular dividends and P0.75 per share special dividends or a total of P2.0 per share dividends on March 24, 2025. The total dividends amounting to P8.5 billion were paid on April 23, 2025.
3. Debt to equity ratio (interest bearing loans) – slight improvement in DE ratio from 0.05 as of December 31, 2024 to 0.03 as of June 30, 2025 following continuous debt repayment and wash effect of net income during the first half of 2025 and dividends declared in March 2025.
4. Core EBITDA margin – H1 2025 margins narrowed to 42% from 46% last year owing to lower market prices amid increased production costs and operating expenses.
5. Current ratio – improvement in current ratio from 2.35x at the end of 2024 to 2.63x as of June 30, 2025 due to higher inventory balance in spite the decline in cash balance.

PART II – OTHER INFORMATION

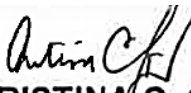
1. The Company's operation is a continuous process. It is not dependent on any cycle or season.
2. Coal prices are generally hinge on the commodities market. Sales to WESM of power generation segment depends on the supply-demand of electricity.
3. There were no undisclosed material subsequent events and transferring of assets not in the normal course of business that have not been disclosed for the period that the company have knowledge of;
4. There are no material contingencies during the interim period; events that will trigger direct or contingent financial obligation that is material to the company, including any default or acceleration of an obligation has been disclosed in the notes to financial statements.
5. There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the company with unconsolidated entities or other persons created during the reporting period
6. Any known trends or any known demands, commitments, events or uncertainties that will result in or that will have a material impact on the registrant's liquidity. – None
7. The Group does not have any offering of rights, granting of stock options and corresponding plans thereof.
8. All necessary disclosures were made under SEC Form 17-C.

PART III SIGNATURES

Pursuant to the requirement of the Revised Securities **Code**, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer: **SEMIRARA MINING AND POWER CORPORATION**

Signature and Title:


MARIA CRISTINA C. GOTIANUN
Principal Executive and Operating Officer

Date: August 1, 2025


CARLA CRISTINA T. LEVINA
Chief Finance Officer

Date: August 1, 2025


VINEL O. PESTAÑO
Controller

Date: August 1, 2025

**PART IV
ANNEX A**

**AGING OF ACCOUNTS RECEIVABLE
AS OF JUNE 30, 2025**

TRADE RECEIVABLES

	Neither past due nor impaired	Past due but not impaired				Impaired	Total
		<30 days	30-60 days	61-90 days	>90 days		
COAL	₱1,760,163	₱176,067	₱-	₱784	₱42,203	₱36,113	₱2,015,330
POWER	2,282,992	375,751	119,188	83,693	551,026	1,632,737	5,045,387
TOTALS	₱4,043,155	₱551,818	₱119,188	₱84,477	₱593,229	₱1,668,850	₱7,060,717
ALLOWANCE FOR DOUBTFUL ACCOUNTS							1,668,850
							₱5,391,867

NON-TRADE RECEIVABLES

COAL	₱324,465	₱-	₱-	₱-	₱-	₱5,815	₱330,280
POWER	40,894	1,479	754	499	2,357	1,686	47,669
TOTALS	₱365,359	₱1,479	₱754	₱499	₱2,357	₱7,501	₱377,949
ALLOWANCE FOR DOUBTFUL ACCOUNTS							7,501
							₱370,448

DUE FROM RELATED PARTIES

NET RECEIVABLES (in thousands)

₱1,256,865

₱7,019,180

ANNEX B

SEMIRARA MINING AND POWER CORPORATION FINANCIAL RISK MANAGEMENT DISCLOSURES

As of June 30, 2025

The Group has various financial assets such as cash and cash equivalents, receivables, and environmental guarantee fund, which arise directly from operations.

The Group's financial liabilities comprise trade and other payables, short-term loans, long-term debt and other noncurrent liabilities. The main purpose of these financial liabilities is to raise finance for the Group's operations. The main risks arising from the Group's financial instruments are price risk, interest rate risk, liquidity risk, foreign currency risk and credit risk.

The BOD reviews and approves policies for managing each of these risks which are summarized below.

The sensitivity analyses have been prepared on the following basis:

- Price risk - movement in one-year historical coal prices and movement of WESM price power
- Interest rate risk - market interest rate on loans
- Foreign currency risk - yearly movement in the foreign exchange rates

The assumption used in calculating the sensitivity analyses of the relevant income statement item is the effect of the assumed changes in respective market risks. This is based on the financial assets and financial liabilities held at June 30, 2025 and December 31, 2024.

Price Risk

Price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The price that the Group can charge for its coal is directly and indirectly related to the price of coal in the global coal market. In addition, as the Group is not subject to domestic competition in the Philippines, the pricing of all of its coal sales is referenced to coal indices such as New Castle Index and Indonesian Coal Index. Global thermal coal prices are affected by numerous factors outside the Group's control, including the demand from customers which is influenced by their overall performance and demand for electricity. Prices are also affected by changes in the global supply of coal and may be affected by the price of alternative fuel supplies, availability of shipping vessels as well as shipping costs.

As the coal price is reset on a periodic basis under coal supply agreements, this may increase its exposure to short-term coal price volatility

There is no assurance that global coal prices will remain higher than pre-pandemic level or that domestic and international competitors will not seek to replace the Group in its relationship with its key customers by offering higher quality, better prices or larger guaranteed supply volumes, any of which would have a materially adverse effect on the Group's profits.

To mitigate this risk, the Group continues to improve the quality of its coal and diversify its market from power industry, cement industry, other local industries and export market. This will allow flexibility in the distribution of coal to its target customers in such manner that minimum target average price of its coal sales across all its customers will still be achieved (i.e., domestic versus export). Also, in order to

mitigate any negative impact resulting from price changes, it is the Group's policy to set minimum contracted volume for customers with long-term supply contracts for each given period (within the duration of the contract) and pricing is negotiated on a monthly basis to even out the impact of any fluctuation in coal prices, thus, protecting its target margin.

The excess volumes are allocated to spot sales which may command different price than those contracted already since the latter shall follow pricing formula per contract.

Nevertheless, on certain cases temporary adjustments on coal prices with reference to customers following a certain pricing formula are requested in order to recover at least the cost of coal if the resulting price is abnormally low vis-à-vis cost of production (i.e., abnormal rise in cost of fuel, foreign exchange).

Below are the details of the Group's coal sales to the domestic market and to the export market (as a percentage of total coal sales volume):

	06/30/2025	12/31/2024
Domestic Market	28.67%	31.81%
Export Market	71.33%	68.19%
<i>as a percentage of total coal sales volume</i>		

The following table shows the effect on income before income tax should the change in the prices of coal occur based on the inventory of the Group as of June 30, 2025 and December 31, 2024 with all other variables held constant.

The change in coal prices used in the simulation assumes fluctuation from the lowest and highest price based on 6-month and 1-year historical price movements in 2025 and 2024.

Change in coal prices	Effect on income before income tax	
	June 30, 2025	December 31, 2024
Based on coal ending inventory		
Increase by 83% in 2025 and 62% in 2024	₱531,312,240	₱290,757,573
Decrease by 83% in 2025 and 62% in 2024	(531,312,240)	(290,757,573)
Based on coal sales volume		
Increase by 52% in 2025 and 64% in 2024	2,277,410,691	4,779,122,512
Decrease by 52% in 2025 and 64% in 2024	(2,277,410,691)	(4,779,122,512)

Interest Rate Risk

The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term term debts with floating interest rates. The Group's policy is to manage its interest cost using a mix of fixed and variable rate debts.

The following table shows the information about the Group's financial instruments that are exposed to cash flow (floating rate instrument) and fair value (fixed rate instrument) interest rate risks presented by maturity profile:

		June 30, 2025						
		Interest	Within 1 year	More than 1 year to 2 years	More than 2 years to 3 years	More than 3 years to 4 years	More than 4 years	Total
Cash in banks and cash equivalents		0.030% to 6.250%	₱6,833,827,160	₱–	₱–	₱–	₱–	₱6,833,827,160
Peso (PHP) long-term debt*								
a)	1,400.00 million loan	Fixed annual interest rate of 4.97% - 5.13% per annum	₱239,567,515	₱172,271,008	₱–	₱–	₱–	₱411,838,523
		Fixed annual interest rate of 4.88% - 6.40% per annum	306,638,375	146,363,548	–	–	–	453,001,923
b)	2,000.00 million loan	Fixed annual interest rate of 4.88% - 6.52% per annum	464,204,450	221,396,738	–	–	–	685,601,188
c)	2,700.00 million loan	4.88% - 6.52% per annum	₱1,010,410,340	₱540,031,294	₱–	₱–	₱–	₱1,550,441,634

*Includes future interest payables

		December 31, 2024					Total
	Interest	Within 1 year	More than 1 year to 2 years	More than 2 years to 3 years	More than 3 years to 4 years	More than 4 years	
Cash in banks and cash equivalents	0.030% to 6.250%	₱9,465,569,792	₱–	₱–	₱–	₱–	9,465,569,792
Peso (PHP) long-term debt*							
d) 1,400.00 million loan	Fixed annual interest rate of 4.97% - 5.13% per annum	₱250,183,136	₱235,544,101	₱56,711,836	₱–	₱–	₱542,439,073
e) 2,000.00 million loan	Fixed annual interest rate of 4.88% - 6.40% per annum	306,277,456	292,346,027	–	–	–	598,623,483
f) 2,700.00 million loan	Fixed annual interest rate of 4.88% - 6.52% per annum	464,310,058	443,241,418	–	–	–	907,551,476
g) 3,500.00 million loan	Fixed annual interest rate of 4.88% – 4.90% per annum	707,939,901	–	–	–	–	707,939,901
		₱1,728,710,551	₱971,131,546	₱56,711,836	₱–	₱–	2,756,553,933

*Includes future interest payables

The following table demonstrates the sensitivity of the Group's income before tax to a reasonably possible change in interest rates on June 30, 2025 and December 31, 2024, with all variables held constant, through the impact on floating rate borrowings.

Basis points (in thousands)	Effect on income before income tax Increase (decrease)	
	June 30, 2025	December 31, 2024
+100	P-	(P28,034)
-100	-	28,034

The assumed movement in basis points for interest rate sensitivity analysis is based on the Group's historical changes in market interest rates on bank loans.

There was no effect on the equity other than those affecting the income before tax.

Liquidity Risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank loans. The Group's policy is to maintain a level of cash that is sufficient to fund its monthly cash requirements, at least for the next four to six months. Capital expenditures are funded through a mix of suppliers' credit, letters of credit, trust receipts and long-term debt, while operating expenses and working capital requirements are funded through cash collections. A significant part of the Group's financial assets that are held to meet the cash outflows include cash equivalents and trade receivables. Although trade receivables are contractually collectible on a short-term basis, the Group expects continuous cash inflows through continuous production and sale of coal and power generation. In addition, although the Group's short-term deposits are collectible at a short notice, the deposit base is stable over the long term as deposit rollovers and new deposits can offset cash outflows.

Moreover, the Group considers the following as mitigating factors for liquidity risk:

- It has available lines of credit that it can access to answer anticipated shortfall in sales and collection of receivables resulting from timing differences in programmed inflows and outflows.
- It has diverse funding sources.
- It has internal control processes and contingency plans for managing liquidity risk. Cash flow reports and forecasts are reviewed on a weekly basis in order to quickly address liquidity concerns. Outstanding trade receivables are closely monitored.

As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows. It also continuously assesses conditions in the financial markets for opportunities to pursue fund raising activities. Fund raising activities may include obtaining bank loans.

The tables below summarize the maturity profile of the Group's financial assets and liabilities as of June 30, 2025 and December 31, 2024 based on undiscounted contractual payments:

	June 30, 2025					Total
	On Demand	Within 1 year	Beyond 1 year to 2 years	Beyond 2 year to 3 years	Beyond 3 years	
Financial Assets						
Cash in banks and cash equivalents	₱6,833,827,160	₱–	₱–	₱–	₱–	₱6,833,827,160
Receivables						
Trade:						
Outside parties	5,391,865,972	–	–	–	1,668,850,172	7,060,716,144
Related parties	1,256,864,525	–	–	–	–	1,256,864,525
Others ⁽¹⁾	370,448,786	–	–	–	7,501,270	377,950,056
Environmental guarantee fund	–	–	–	–	17,628,838	17,628,838
	₱13,853,006,443	₱–	₱–	₱–	₱1,693,980,280	₱15,546,986,723
Financial Liabilities						
Trade and other payables						
Trade:						
Payable to suppliers and contractors	₱7,016,350,399	₱–	₱–	₱–	₱–	₱7,016,350,399
Related parties	280,592,624	–	–	–	–	280,592,624
Accrued expenses and other payables ⁽²⁾	2,449,880,718	–	–	–	–	2,449,880,718
Lease liabilities	–	9,639,833	9,639,833	9,639,833	6,491,073	35,410,572
Peso long-term debt with interest payable in arrears⁽³⁾						
1,400.00 million loan	–	239,567,515	172,271,008	–	–	411,838,523
2,000.00 million loan	–	306,638,375	146,363,548	–	–	453,001,923
2,700.00 million loan	–	464,204,450	221,396,738	–	–	685,601,188
	₱9,746,823,741	₱1,020,050,173	₱549,671,127	₱9,639,833	₱6,491,073	₱11,332,675,947

⁽¹⁾Excludes advances to officers and which are considered as non-financial asset

⁽²⁾Excludes statutory liabilities

⁽³⁾Includes future interest payable

December 31, 2024						
	On Demand	Within 1 year	Beyond 1 year to 2 years	Beyond 2 year to 3 years	Beyond 3 years	Total
Financial Assets						
Cash in banks and cash equivalents	P9,465,569,792	P-	P-	P-	P-	P9,465,569,792
Receivables						
Trade:						
Outside parties	7,323,181,384	-	-	-	-	7,323,181,384
Related parties	1,664,838,245	-	-	-	-	1,664,838,245
Others ⁽¹⁾	217,982,478	-	-	-	-	217,982,478
Environmental guarantee fund	-	-	-	-	16,607,307	16,607,307
	P18,671,571,899	P-	P-	P-	P16,607,307	P18,688,179,206
Financial Liabilities						
Trade and other payables						
Trade:						
Payable to suppliers and contractors	P6,757,357,386	P-	P-	P-	P-	P6,757,357,386
Related parties	372,123,366	-	-	-	-	372,123,366
Accrued expenses and other payables ⁽²⁾	357,012,028	-	-	-	-	357,012,028
Lease liabilities	-	9,639,833	9,639,833	9,639,833	27,770,739	56,690,238
Peso long-term debt with interest payable in arrears ⁽³⁾						
1,400.00 million loan	-	250,183,136	235,544,101	56,711,835	-	542,439,072
2,000.00 million loan	-	306,277,456	292,346,027	-	-	598,623,483
2,700.00 million loan	-	464,310,058	443,241,418	-	-	907,551,476
3,500.00 million loan	-	707,939,901	-	-	-	707,939,901
	P7,486,492,780	P1,738,350,384	P980,771,379	P66,351,668	P27,770,739	P10,299,736,950

⁽¹⁾Excludes advances to officers and which are considered as non-financial asset

⁽²⁾Excludes statutory liabilities

⁽³⁾Includes future interest payable

Foreign Currency Risk

Majority of the Group's revenue are generated in Philippine Peso, however, there are also significant export coal sales as well as capital expenditures which are in US\$.

The Group manages this risk by matching receipts and payments in the same currency and monitoring. Approximately, 39.22% and 40.76% of the Group's sales as of June 30, 2025 and December 31, 2024, respectively, were denominated in US\$ whereas approximately 30.70% and 23.01% of payables as of June 30, 2025 and December 31, 2024, respectively, were denominated in US\$.

Information on the Group's foreign currency-denominated monetary assets and liabilities and their Philippine peso equivalents follows:

	June 30, 2025		December 31, 2024	
	U.S. Dollar	PHP Equivalent	U.S. Dollar	PHP Equivalent
Assets				
Cash and cash equivalents	\$2,722,911	₱153,381,578	\$9,577,746	₱555,605,045
Trade receivables	12,548,349	706,848,525	20,439,711	1,185,707,635
Liabilities				
Trade payables	(69,078,694)	(3,891,202,818)	(58,207,647)	(3,376,625,602)
Net exposure	(\$53,807,434)	(₱3,030,972,715)	(\$28,190,190)	(₱1,635,312,922)

The following table demonstrates the sensitivity to a reasonably possible change in foreign exchange rates, with all variables held constant, of the Group's income before tax (due to changes in the fair value of monetary assets and liabilities) on June 30, 2025 and December 31, 2024.

	Currency	Increase (decrease) in Philippine Peso/ Foreign exchange rate	Effect on profit before tax
2025	USD	1.00%	₱60,619,454
		(1.00%)	(60,619,454)
2024	USD	0.83%	₱13,082,503
		(0.83%)	(13,082,503)

There is no impact on the Group's equity other than those already affecting profit or loss. The movement in sensitivity analysis is derived from current observations on movement in dollar average exchange rates.

Credit Risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

The Group manages and controls credit risk by doing business with recognized, creditworthy third parties, thus, there is no requirement for collateral. It is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures. The Group evaluates the financial condition of the local customers before deliveries are made to them.

On the other hand, export sales are covered by sight letters of credit issued by foreign banks subject for the Group's approval, hence, mitigating the risk on collection. In addition, receivable balances are monitored on an ongoing basis with the result that the Group's exposure to doubtful accounts is not

significant. The Group generally bills 80% of coal delivered payable within 30 days upon receipt of billing and the remaining 20% payable within 5 days after receipt of final billing based on final analysis of coal delivered. The Group's exposure to credit risk from trade receivables arise from the default of the counterparty with a maximum exposure equal to their carrying amounts.

With respect to the credit risk arising from the other financial assets of the Group, which comprise cash and cash equivalents, other receivables, environmental guarantee fund and investment in sinking fund, the exposure to credit risk arises from default of the counterparty with a maximum exposure to credit risk equal to the carrying amount of the financial assets as of reporting date. The Group does not hold any collateral or other credit enhancement that will mitigate credit risk exposure. The Group transacts only with institutions or banks and third parties that have proven track record in financial soundness. The management does not expect any of these institutions to fail in meeting their obligations, however, due to the regulated environment that the Group operates in, collectability of financial assets is impacted by government regulations or actions.

An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due of the customer with loss pattern. The calculation reflects the probability-weighted outcome and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions.

The tables below present the summary of the Group's exposure to credit risk as of June 30, 2025 and December 31, 2024 and show the credit quality of the assets by indicating whether the assets are subjected to the 12-month ECL or lifetime ECL.

June 30, 2025				
	12-month ECL	Lifetime ECL Not Credit Impaired	Lifetime ECL Credit Impaired	Total
Cash in banks and cash equivalents	₱6,833,827,160	₱—	₱—	₱6,833,827,160
Receivables:				
Trade receivables – related parties	—	1,256,864,525	—	1,256,864,525
Trade receivables – outside parties	—	5,391,865,972	1,668,850,172	7,060,716,144
Others*	—	370,448,786	7,501,270	377,950,056
Environmental guarantee fund	—	17,628,838	—	17,628,838
	₱6,833,827,160	₱7,036,808,121	₱1,676,351,442	₱15,546,986,723

*Excludes non-financial assets

December 31, 2024				
	12-month ECL	Lifetime ECL Not Credit Impaired	Lifetime ECL Credit Impaired	Total
Cash in banks and cash equivalents	₱9,465,569,792	₱—	₱—	₱9,465,569,792
Receivables:				
Trade receivables - related parties	—	1,664,838,245	—	1,664,838,245
Trade receivables - outside parties	—	5,652,645,226	1,670,536,158	7,323,181,384
Others*	—	212,167,119	5,815,359	217,982,478
Environmental guarantee fund	—	16,607,307	—	16,607,307
	₱9,465,569,792	₱7,546,257,897	₱1,676,351,517	₱18,688,179,206

*Excludes non-financial assets

Capital Management

The primary objective of the Group's capital management strategy is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximize shareholder value. The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders or issue new shares.

No changes were made in the objectives, policies and processes from the previous years.

The Group manages its capital using debt-to-equity ratio, which is interest-bearing loans divided by equity, and EPS. The following table shows the Group's capital ratios as of June 30, 2025 and December 31, 2024.

	June 30, 2025	December 31, 2024
Interest-bearing loans	₱1,466,039,325	₱2,634,744,554
Total equity	56,436,538,563	56,518,554,441
Debt-equity ratio	0.03:1	0.05:1
EPS	₱1.98	₱4.62

The debt-to-equity ratio, expressed in percentage, is carefully matched with the strength of the Group's financial position, such that when a good opportunity presents itself, the Group can afford further leverage.

The Group considers long-term debt as 'interest-bearing loans' in determining debt-to-equity ratio.

The following table shows the components of the Group's capital as of June 30, 2025 and December 31, 2024:

	June 30, 2025	December 31, 2024
Total paid-up capital	₱10,940,136,701	₱10,940,136,701
Acquisition of treasury shares	(739,526,678)	(739,526,678)
Net remeasurement losses on pension plan	(159,940,769)	(159,940,769)
Retained earnings – unappropriated	39,595,869,309	39,677,885,187
Retained earnings – appropriated	6,800,000,000	6,800,000,000
	₱56,436,538,563	₱56,518,554,441

Some loan agreements have covenants that require the Group to maintain debt-to-equity (DE) ratios, among others.

Fair Values

Fair Value Information

Cash and cash equivalents, receivables, environmental guarantee fund, trade payables, accrued expenses and other payables approximate fair value. Most of these financial instruments are relatively short-term in nature.

Long-term debt

The carrying values approximated the fair value because of recent and regular repricing of interest rates (e.g. monthly, quarterly, semi-annual or annual basis) based on current market conditions. In 2025 and 2024, interest rate ranges from 4.50% to 5.13%.

Fair Value Hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities
- Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly
- Level 3: techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data. There has been no reclassification from Level 1 to Level 2 or 3 category in 2025 and 2024.

ANNEX C**COMPARATIVE FINANCIAL SOUNDNESS INDICATORS**

	June 30, 2025	December 31, 2024
Current ratio	2.63	2.35
Quick ratio	1.35	1.42
Debt to equity ratio (total liabilities)	0.22	0.26
Debt to equity ratio (interest bearing loans)	0.03	0.05
Net debt to equity ratio (interest bearing loans)	0.10	(0.12)
Asset to equity ratio	1.22	1.26

	June 30, 2025	June 30, 2024
Return on assets	11%	15%
Return on equity	15%	21%
Interest coverage ratio	37.92	115.32
Gross profit margin	44%	53%
Net profit margin	27%	34%